Performance Optimization Strategy

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Rule Book

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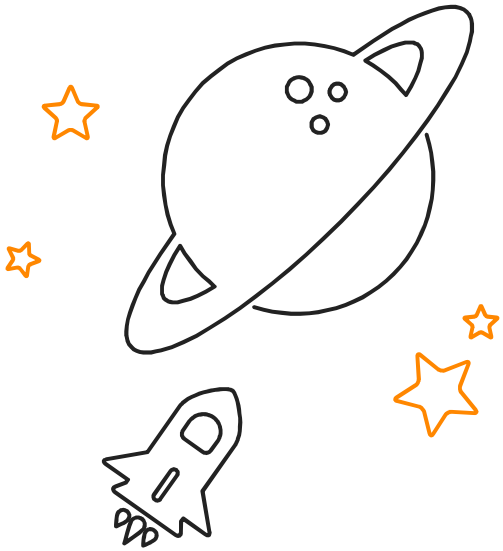
Candle Types



Candle Types

Some Candles represent Accumulation/Distribution of Orders while others do not…

Boring Candles :
They imply that transactions are happening in a range thus Demand and Supply is in balance and orders are potentially being accumulated/distributed by the Big Boys.(Pause Period)

Exciting Candles :
They imply imbalance between Demand and Supply thus price starts moving either up or down.

Our Demand and Supply Levels will be identified by using Boring and Exciting Candles.

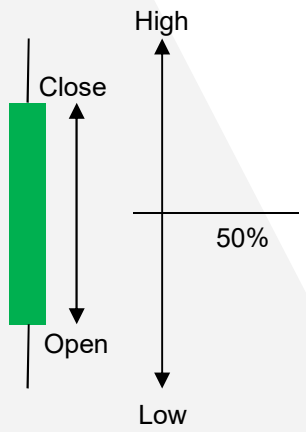
Candle Types

To Qualify a Candle as Boring or Exciting we compare the Candle's

Body Range (Open to Close) with 50% of Candle Range (High to Low)

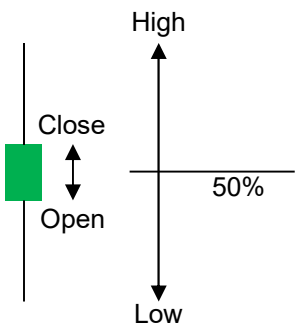
Exciting Candle

Candle with Body Range > 50% of Candle Range



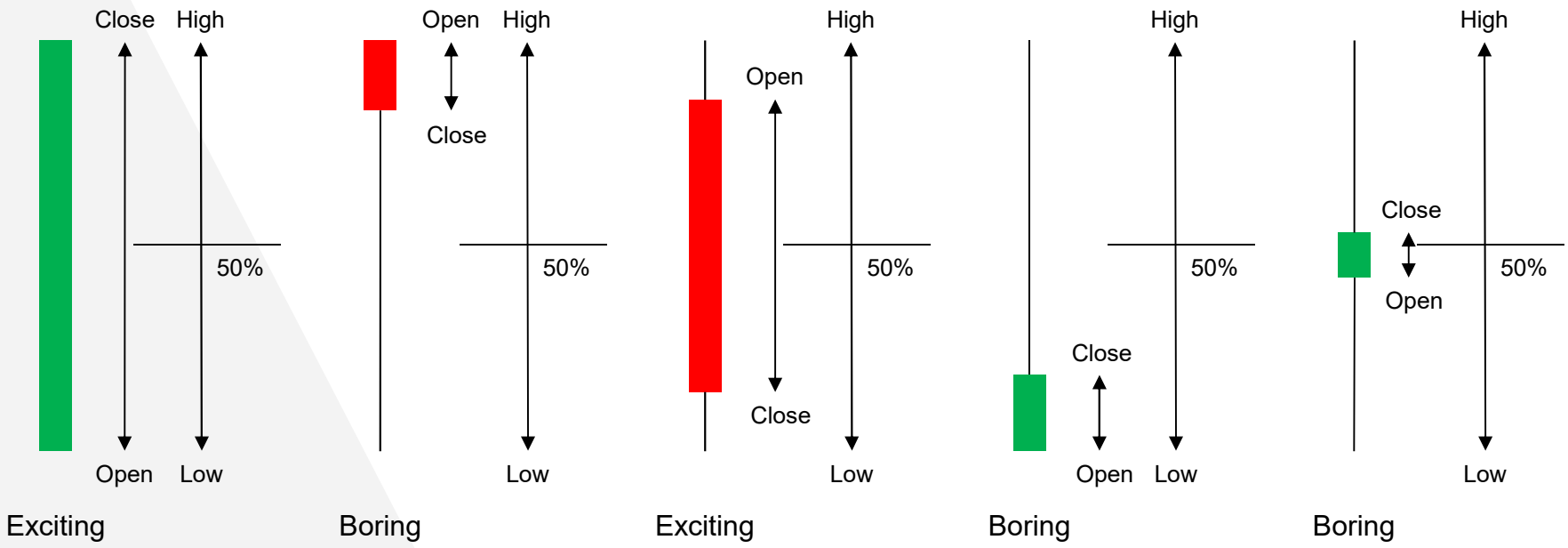
Boring Candle

Candle with Body Range <=50% of Candle Range



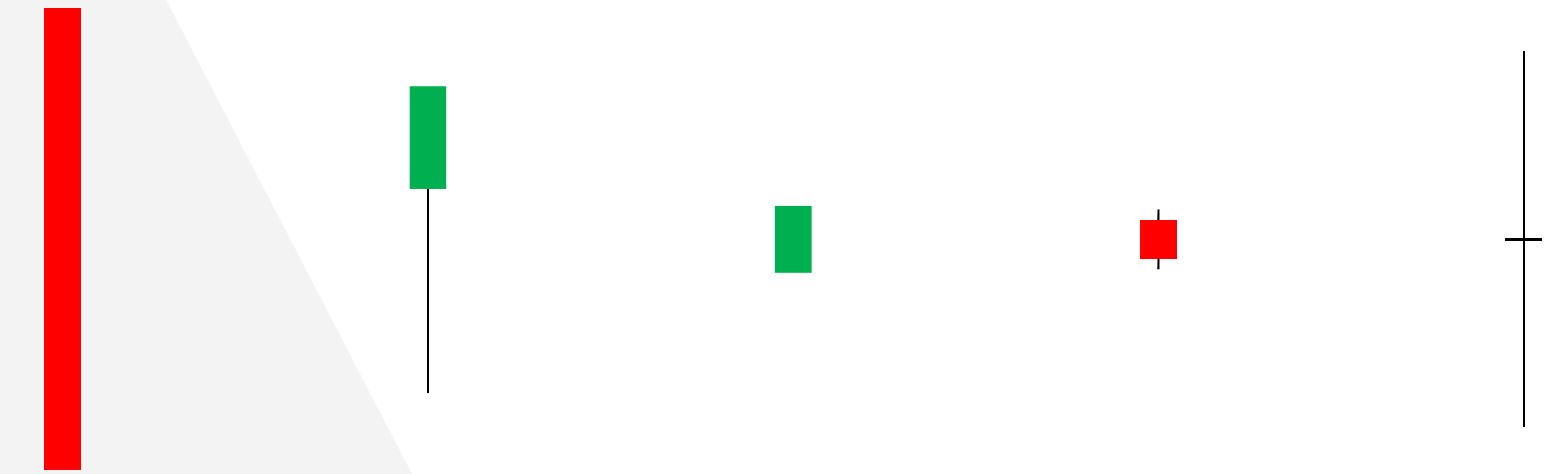
Candle Types

Boring or Exciting Candle



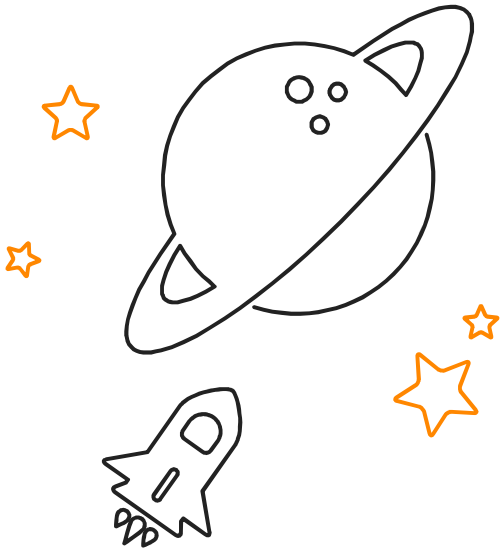
Candle Types

Boring or Exciting Candle



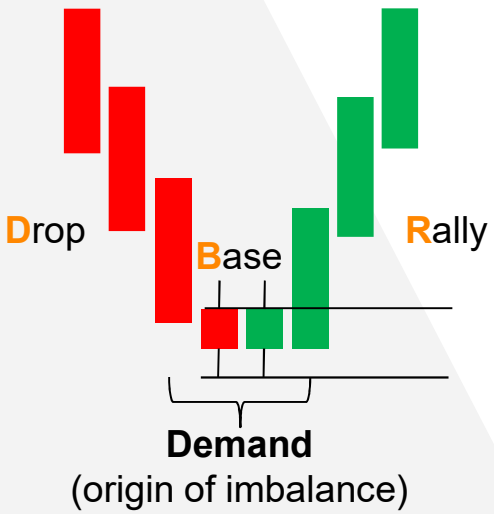
Exciting | Boring | Exciting | Exciting | Boring

Zone Formations

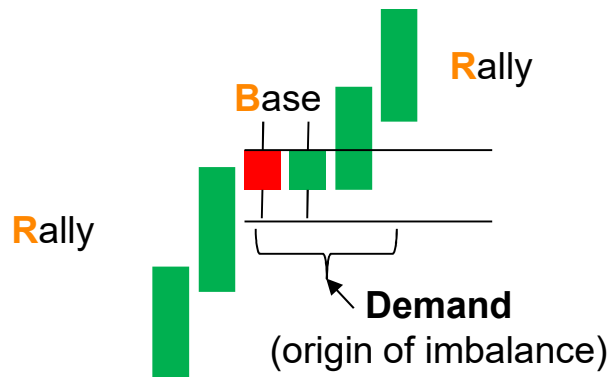


Two Formations of Demand

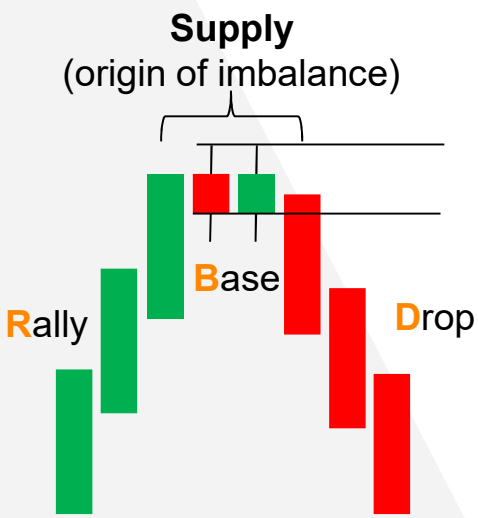
DBR



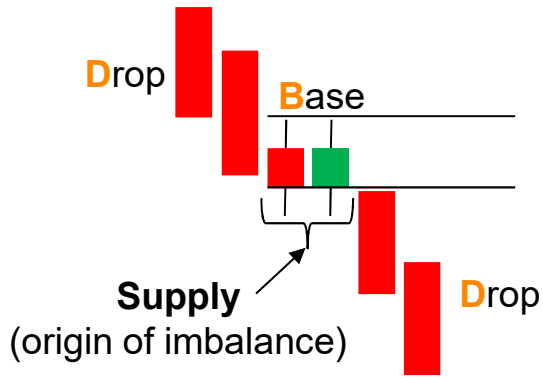
RBR



Two Formations of Supply



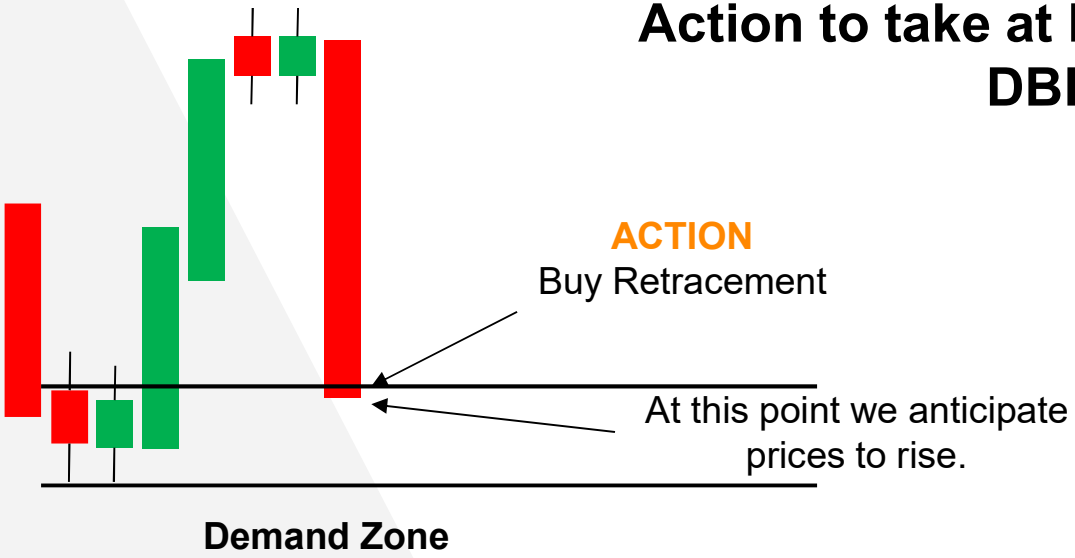
RBD



DBD

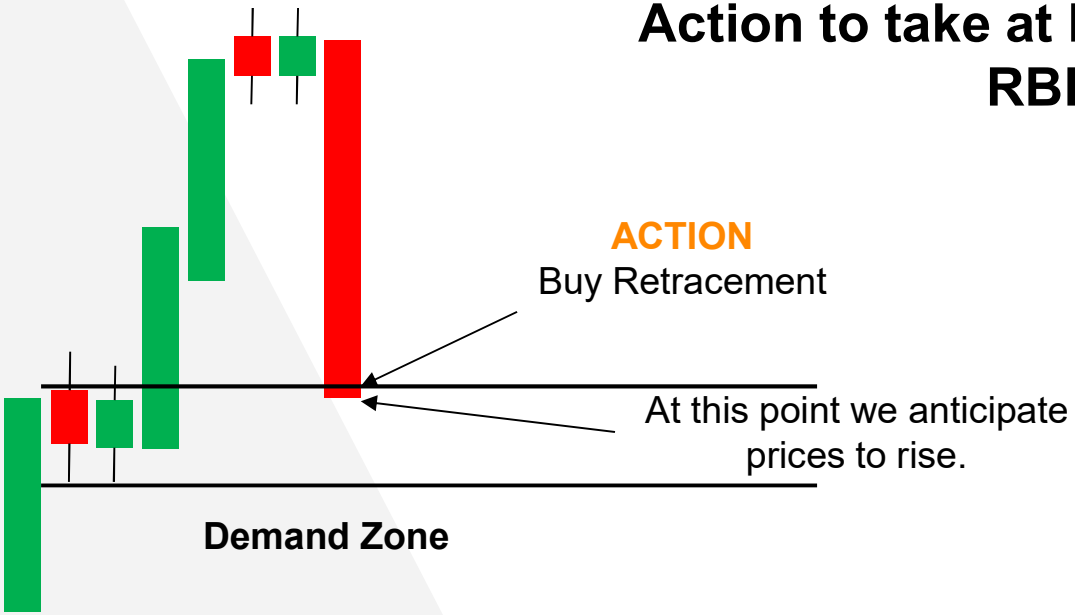
Zone Formations

Action to take at Demand Zones
DBR



Zone Formations

Action to take at Demand Zones
RBR



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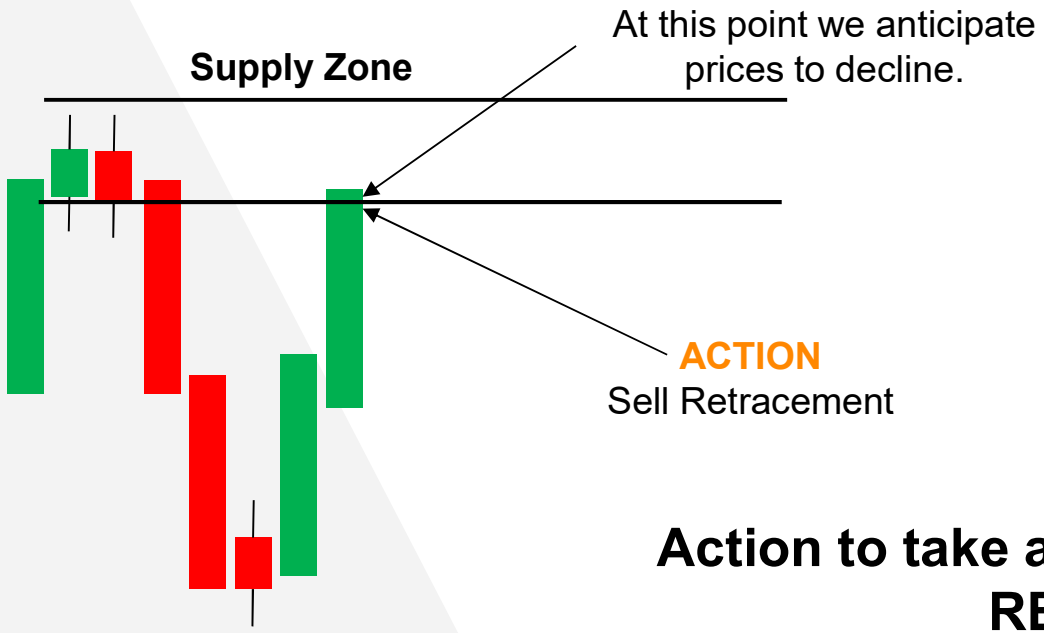
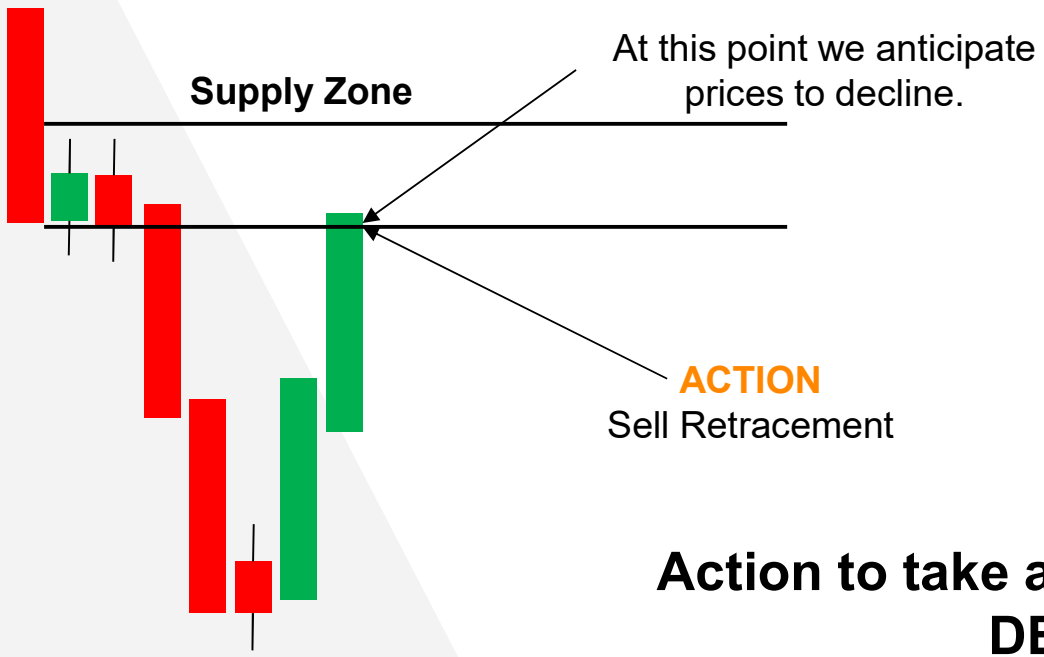


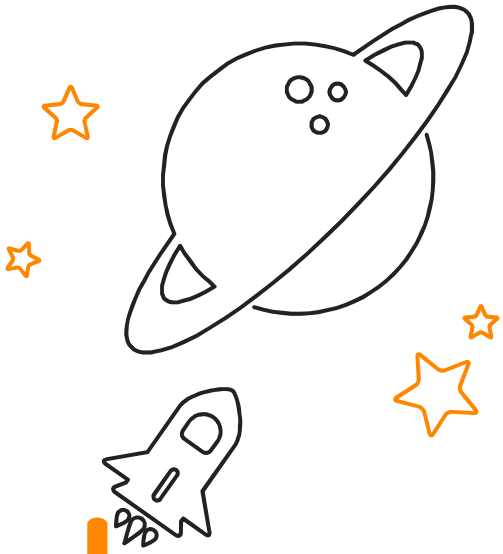
Action to take at Supply Zones
RBD

Zone Formations



Action to take at Supply Zones
DBD

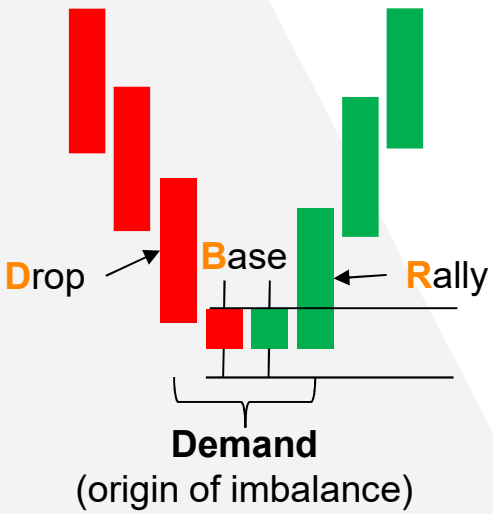
Zone Components



Zone Components

Leg In – Base – Leg Out

DBR



Base
Boring Candles/Pause

Leg In
Exciting Candles to the Left of Basing

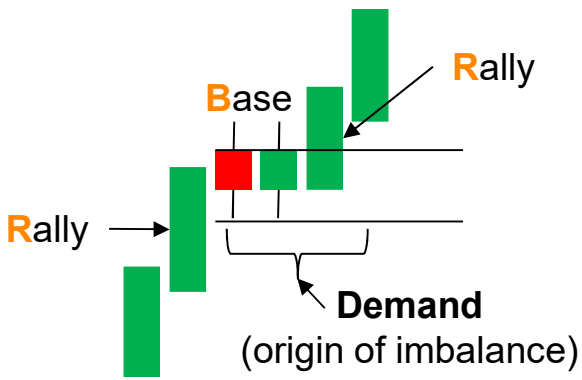
Leg Out
Exciting Candles to the Right of Basing

Base
Boring Candles/Pause

Leg In
Exciting Candles to the Left of Basing

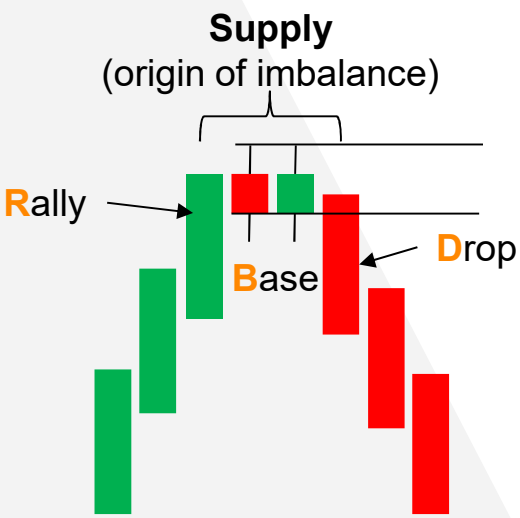
Leg Out
Exciting Candles to the Right of Basing

RBR



Zone Components

Leg In – Base – Leg Out



RBD

Base
Boring Candles/Pause

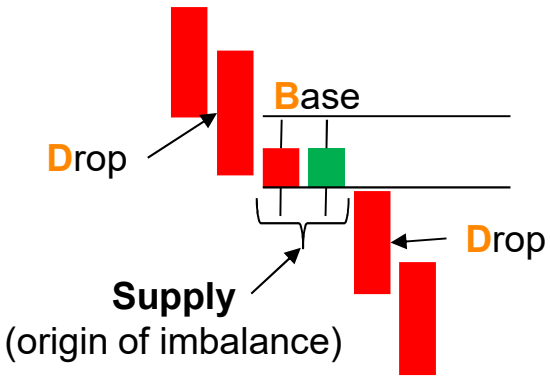
Leg In
Exciting Candles to the Left of Basing

Leg Out
Exciting Candles to the Right of Basing

Base
Boring Candles/Pause

Leg In
Exciting Candles to the Left of Basing

Leg Out
Exciting Candles to the Right of Basing



DBD

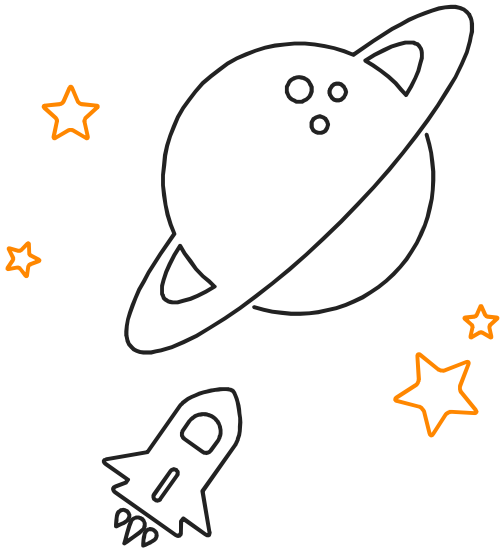
Zone Components

Summary : Zone is made up of 3 components Leg In, Base and Leg Out

Basing will always be Boring Candles/Pause.

Leg In and **Leg Out** will always be Exciting Candles.

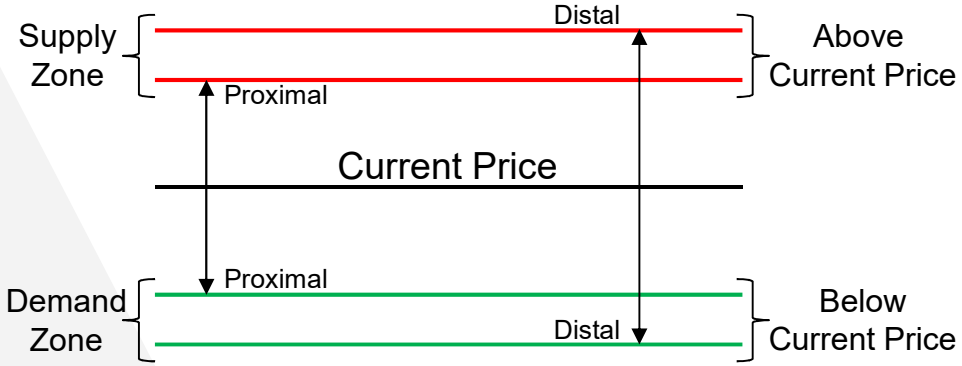
Zoning Rules



Zoning Rules

We use two lines to mark a zone

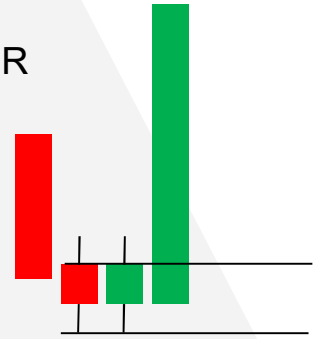
Terminology
Proximal – Closest to current price
Distal – Farthest from current price



Zoning Rules

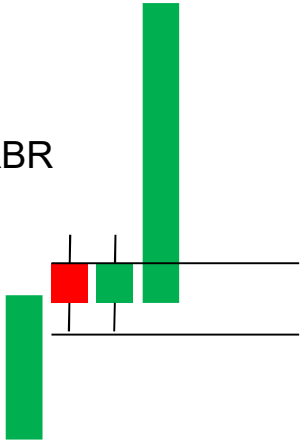
Rules for DZ line placement

DBR



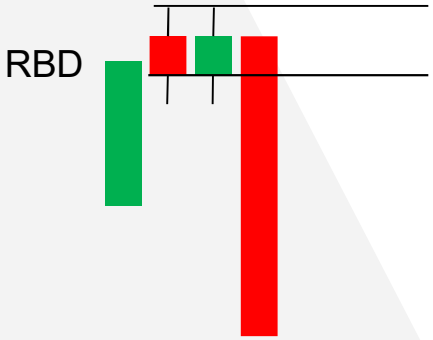
Proximal Line – Highest Body in Basing
Distal Line – Lowest Low in DBR

RBR

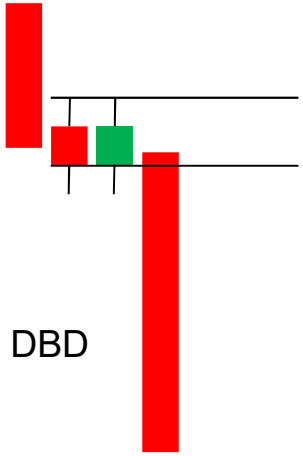


Proximal Line – Highest Body in Basing
Distal Line – Lowest Low in RBR excluding Legin

Rules for SZ line placement



Proximal Line – Lowest Body in Basing
Distal Line – Highest High in RBD

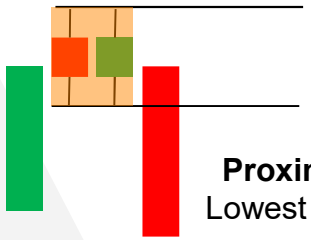


Proximal Line – Lowest Body in Basing
Distal Line – Highest High in DBD excluding Legin

Zoning Rules

SUPPLY

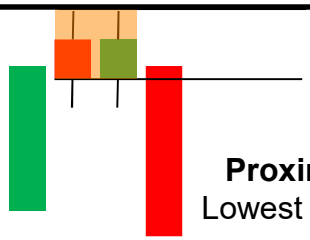
Distal Line
Highest High



Proximal
Lowest Low

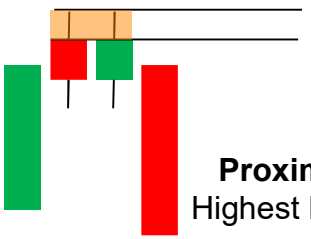
Wick To Wick Method
Pros – High Fill Probability
Cons – Highest Risk

Preferred Method



Proximal
Lowest Body

Body To Wick Method
Pros – Medium Risk
Cons – Medium Fill Probability



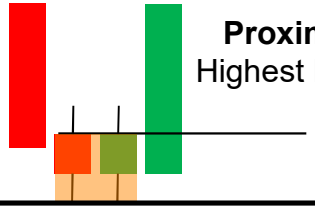
Proximal
Highest Body

Do Not Use
Pros – Lowest Risk
Cons – Lowest Fill Probability

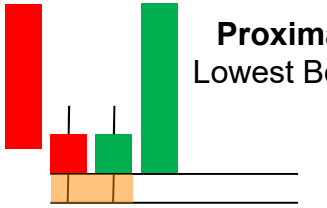
DEMAND

Distal Line
Lowest Low

Proximal
Highest High

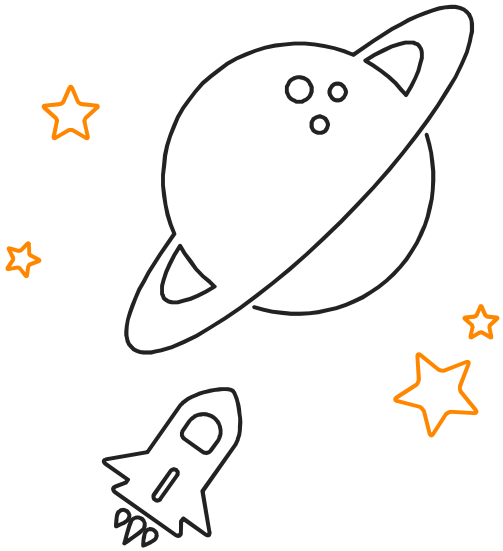


Proximal
Highest Body



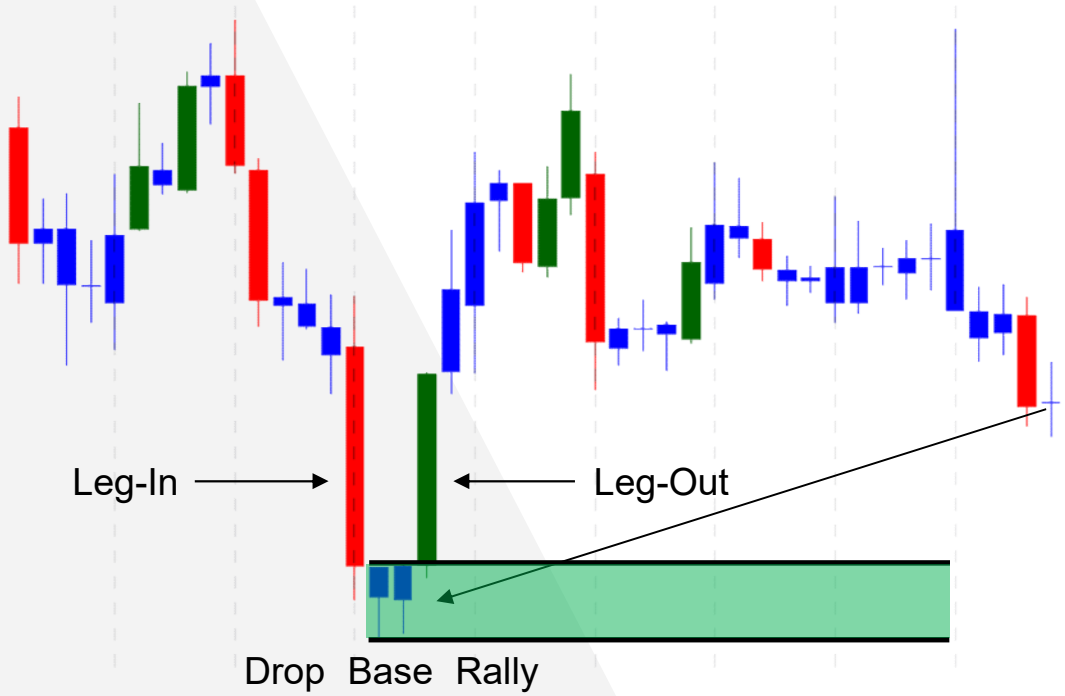
Proximal
Lowest Body

Identifying Zone



Identifying Zones

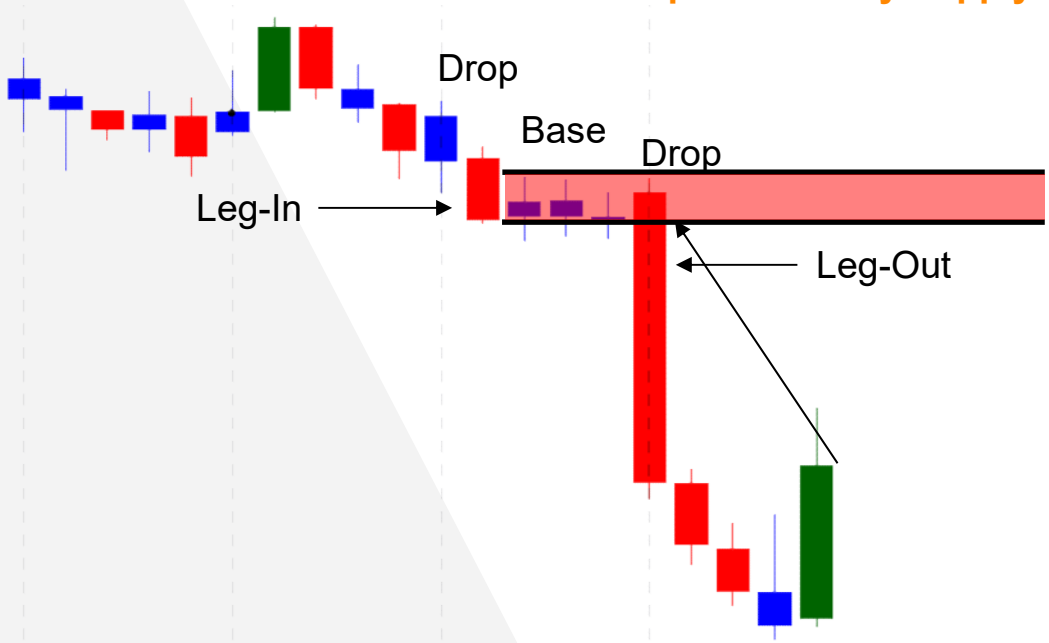
Steps to Identify Demand Zone



1. Start with Current Market Price.
2. Without cutting through candle, look down and left until you find boring candle. (Because we have applied boring candle indicator in this example all blue candles are boring).
3. Identify Leg-In and Leg-Out.
4. Identify the pattern.
5. Draw Proximal and Distal Line

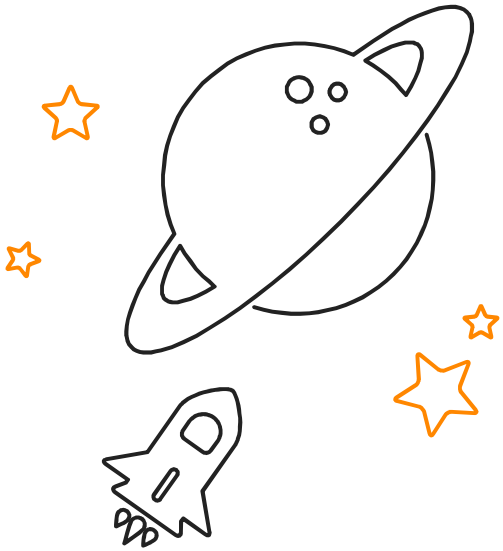
Identifying Zones

Steps to Identify Supply Zone



1. Start with Current Market Price.
2. Without cutting through candle, look up and left until you find boring candle. (Because we have applied boring candle indicator in this example all blue candles are boring).
3. Identify Leg-In and Leg-Out.
4. Identify the pattern.
5. Draw Proximal and Distal Line

Multiple Time Frame Analysis



Multiple Time Frames

Purpose of Multiple Time Frames

1. **Higher Time Frame (HTF)** : Used to access the Demand and Supply Curve.
2. **Intermediate Time Frame (ITF)** : Used to access the Trend.
3. **Lower Time Frame (LTF)** : Used to identify Demand & Supply for Entry and Exits.
4. **Refining Time Frame (RTF)** : Used for fine tuning, different types of Entries and more.

Multiple Time Frames

Different Time Frames for Different Trade Purposes

1. **Monthly Income Trade (MIT)** : Trades that can last up to few Months.
2. **Weekly Income Trade (WIT)** : Trades that can last up to few Weeks.
3. **Daily Income Trade (DIT)** : Trades that can last up to few Days.
4. **Hourly Income Trade (HIT)** : Trades that can last up to few Hours.

Time Frames

Multiple Time Frame Analysis (NSE)

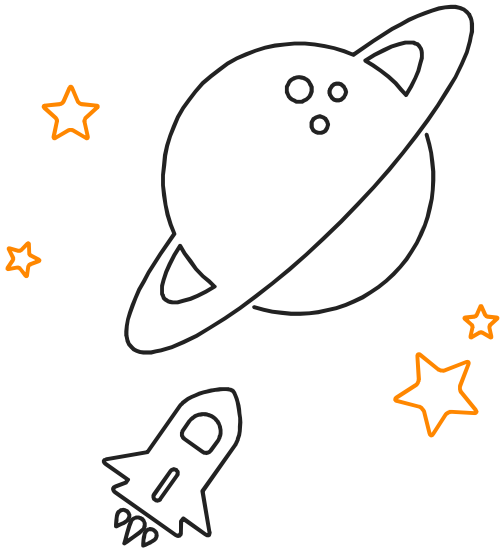
Purpose	HTF (Curve)	ITF (Trend)	LTF (S.E.T.S)	RTF (Fine Tuning)
Monthly Income	Monthly	Weekly	Daily	60M
Weekly Income	Weekly	Daily	60M	15M
Daily Income	Daily	60M	15M	5M
Hourly Income	60M	15M	5M	1M

Time Frames

Multiple Time Frame Analysis (Commodities/Forex)

Purpose	HTF (Curve)	ITF (Trend)	LTF (S.E.T.S)	RTF (Fine Tuning)
Monthly Income	Monthly	Weekly	Daily	240M
Weekly Income	Weekly	Daily	240M	60M
Daily Income	Daily	240M	60M	15M
Hourly Income	240M	60M	15M	5M

Curve Analysis



Curve

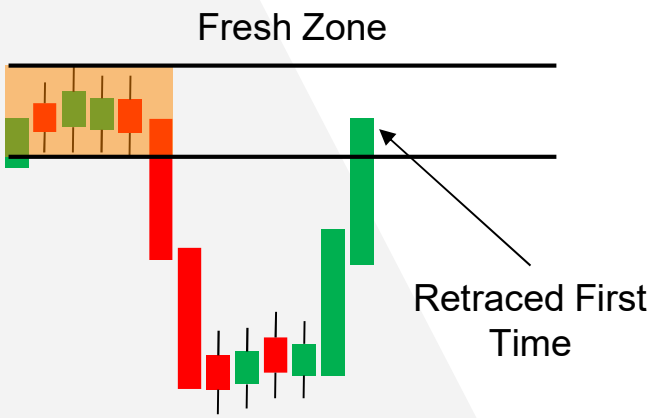
Curve

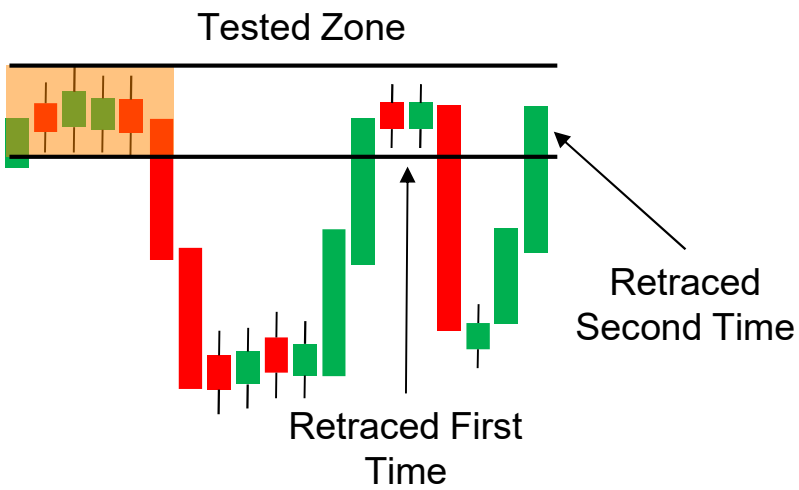
Nearest and Fresh Demand and Supply Zone divided into 3 parts from Proximal to Proximal line.

Curve Analysis helps us know when to be in BULLISH or BEARISH mode since when price has moved too far up it is not smart to be a buyer and when price has moved too far down it is not smart to be a seller.

Fresh Level

A Demand or Supply Level to which prices have not retraced after the zone was formed.

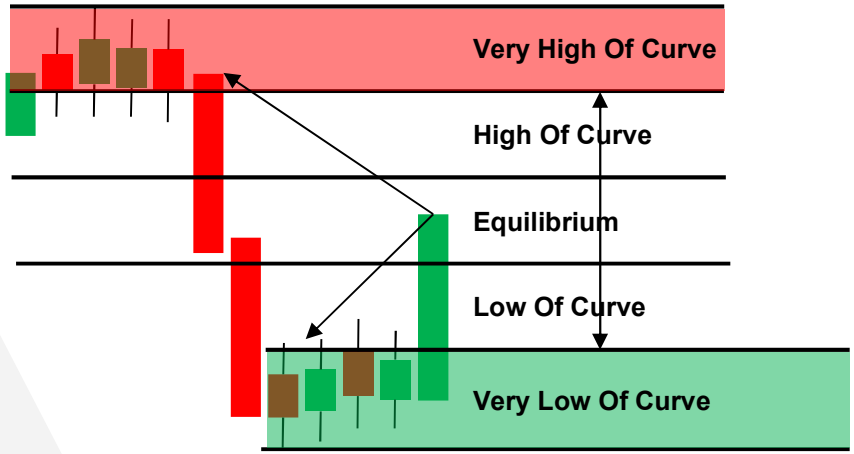




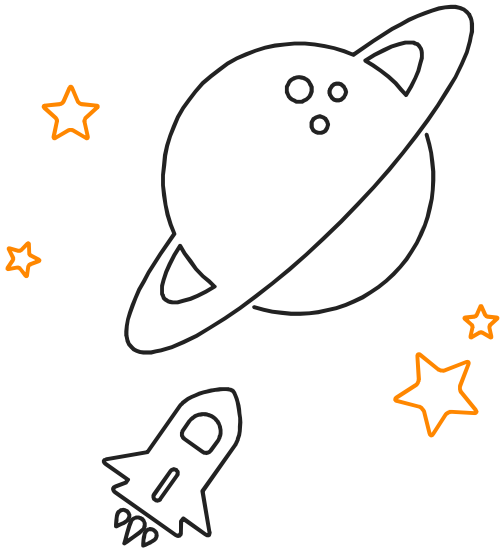
Curve

Curve

Nearest and Fresh Demand and Supply Zone divided into 3 parts from Proximal to Proximal line.



Trend Analysis



Trends

Up Trend

Violation of 2 Supply Zones on Intermediate Time Frame.

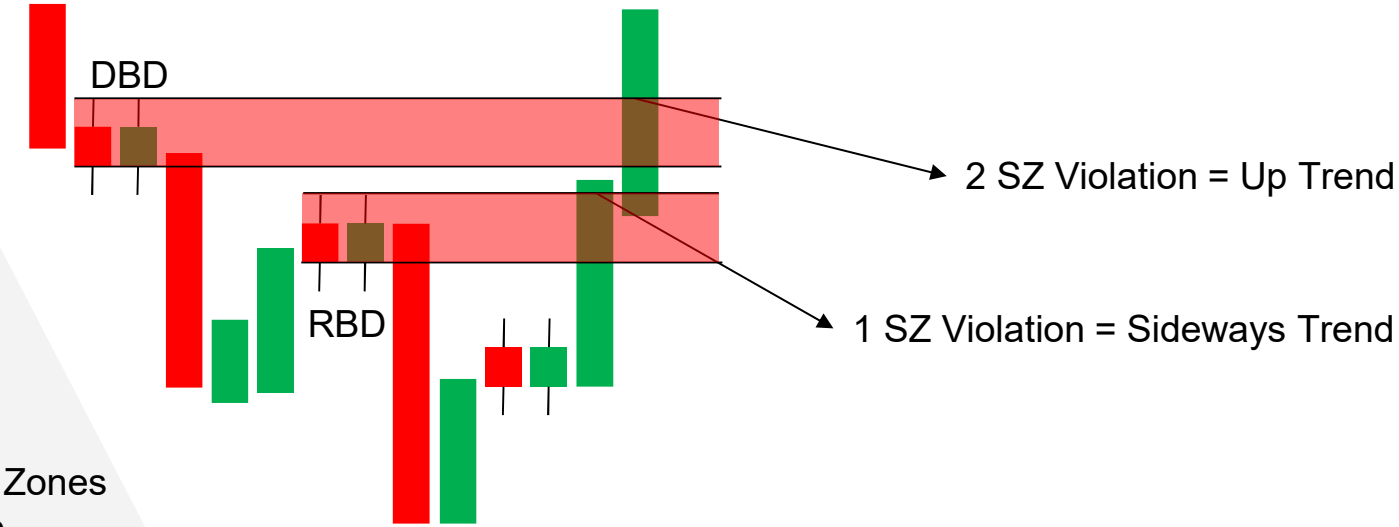
Sideways Trend

Violation of 1 Demand Zone and 1 Supply Zone on Intermediate Time Frame.

Down Trend

Violation of 2 Demand Zones on Intermediate Time Frame.

Trends



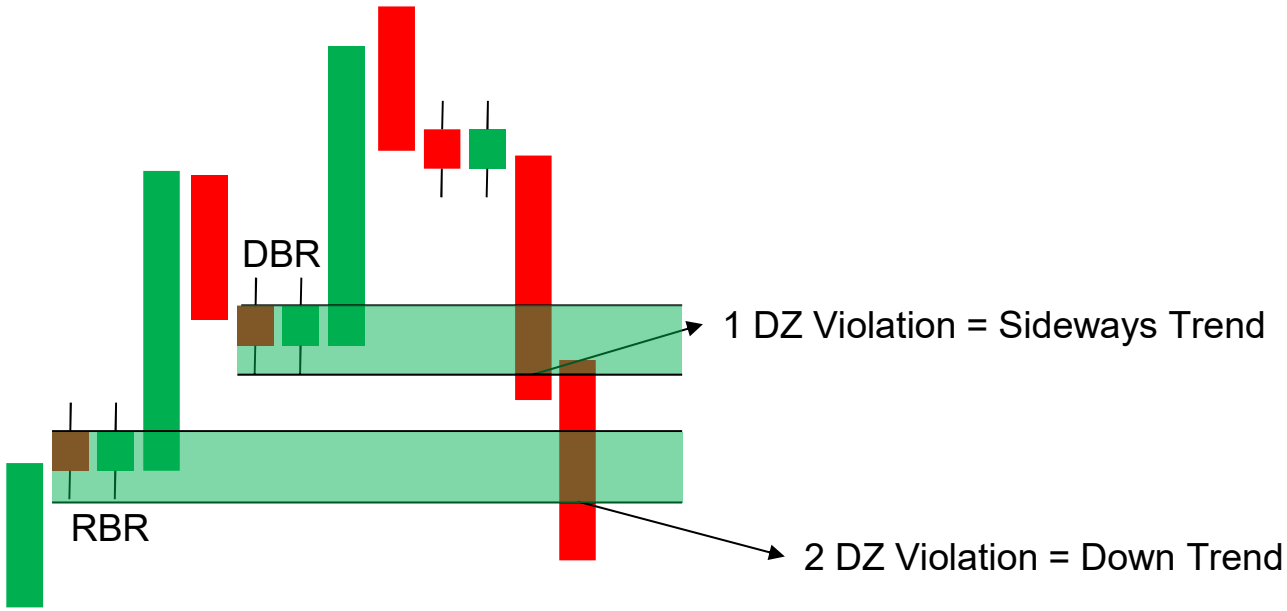
Up Trend

Violation of 2 Supply Zones on Intermediate Time Frame.

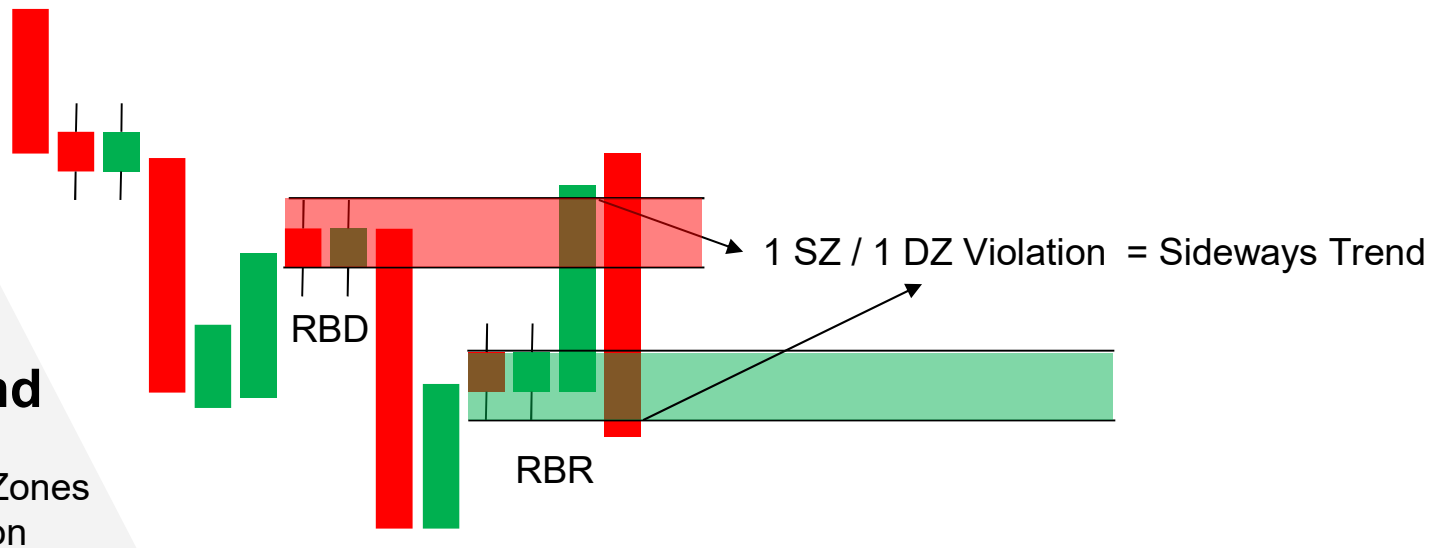
Trends

Down Trend

Violation of 2 Demand Zones on Intermediate Time Frame.



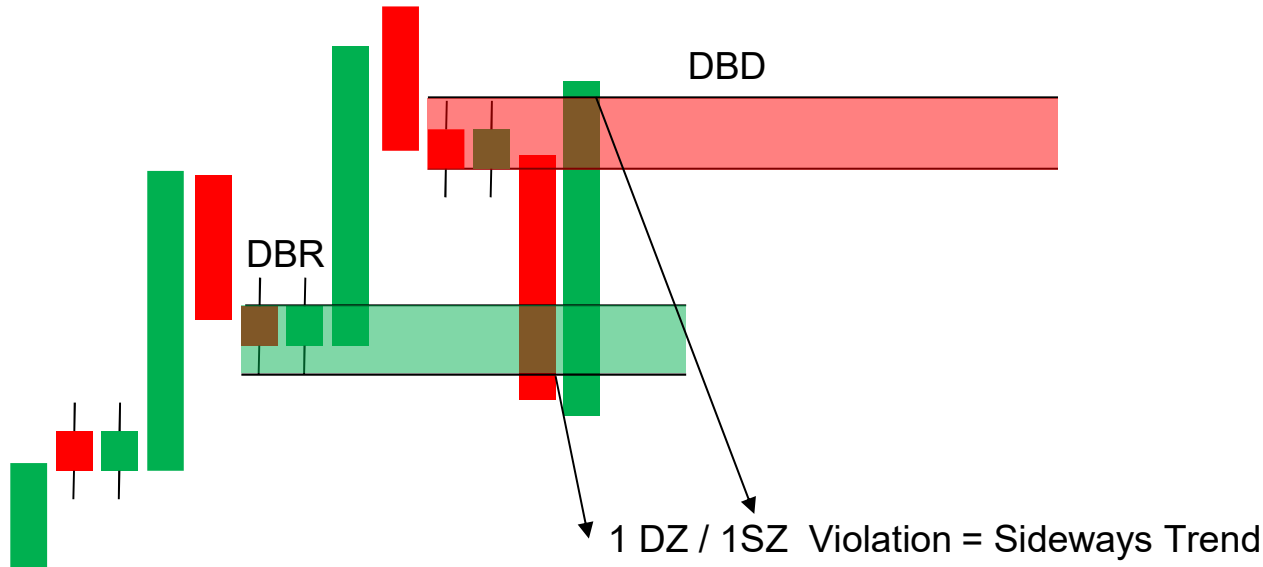
Trends



Sideways Trend

Violation of 1 Supply Zones and 1 Demand Zone on Intermediate Time Frame.

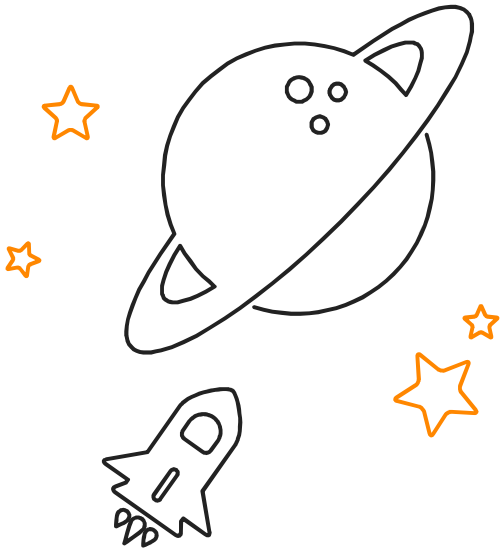
Trends



Sideways Trend

Violation of 1 Demand Zone and 1 Supply Zone on Intermediate Time Frame.

Action Grid

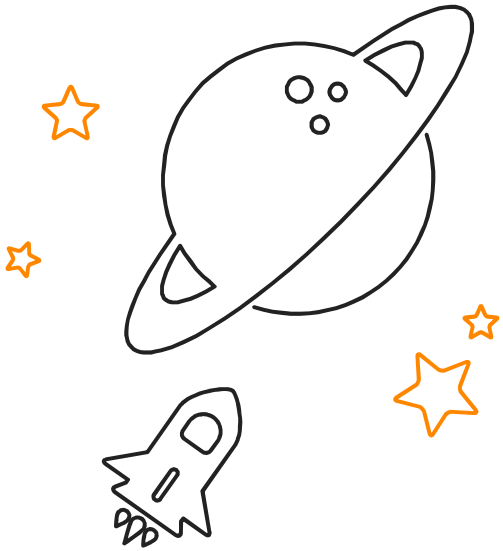


Action Grid

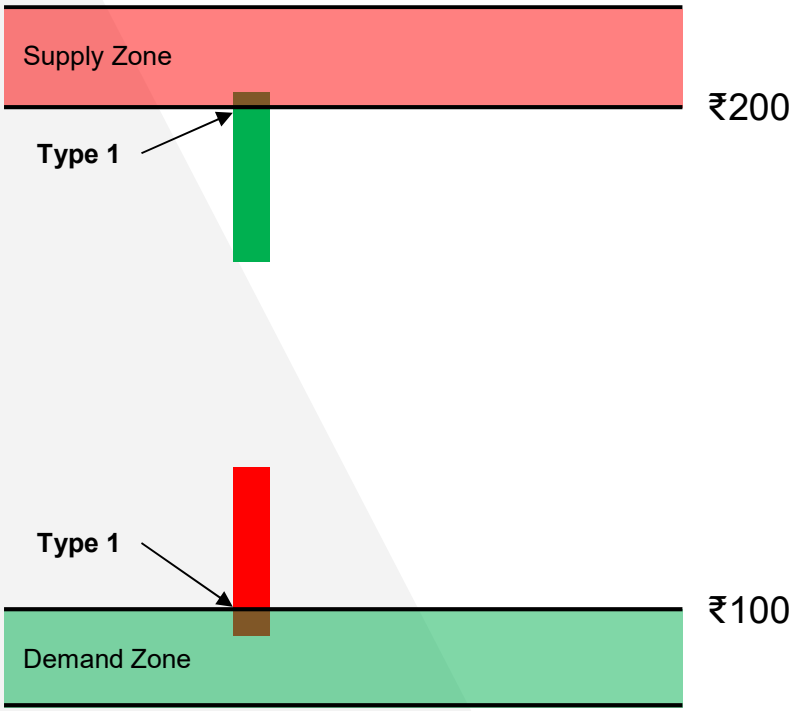
What Action to take and when to take

	Zone	Supply			Demand		
LTF							
ITF	**Trend**	**DownTrend**	**Sideways**	**UpTrend**	**DownTrend**	**Sideways**	**UpTrend**
HTF	**Very High** of Curve	Short	Short	Short	No Action	No Action	No Action
	High of Curve	Short	Short	No Action	No Action	No Action	No Action
	Equilibrium	Short	No Action	No Action	No Action	No Action	Long
	Low of Curve	No Action	No Action	No Action	No Action	Long	Long
	Very Low of Curve	No Action	No Action	No Action	Long	Long	Long

Entry Types

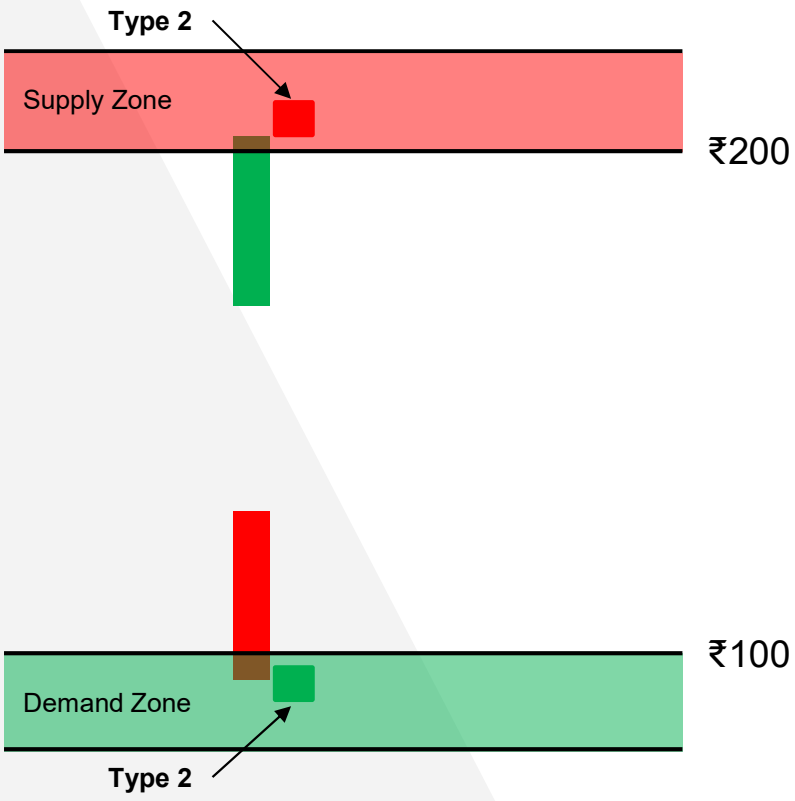


Entry Types



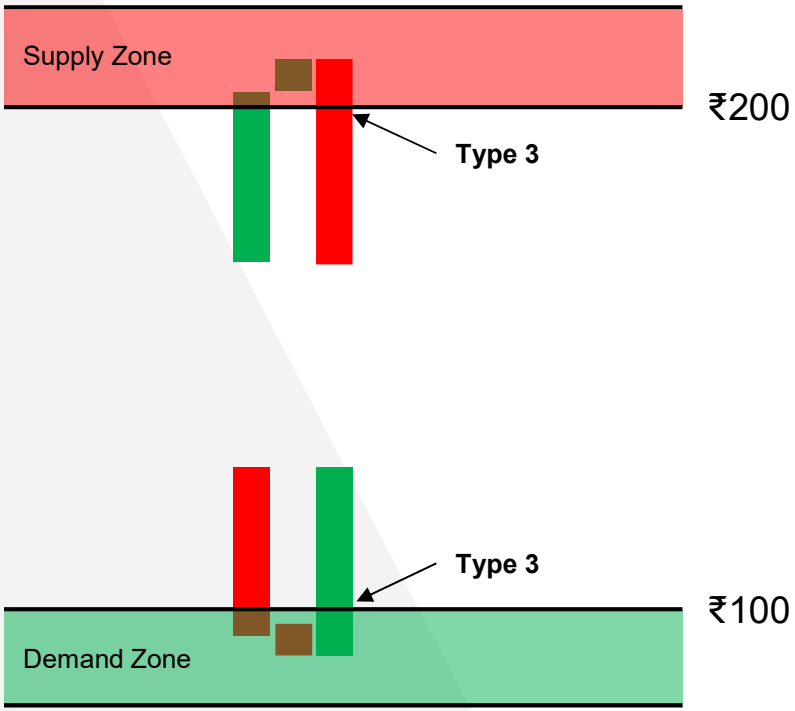
Entry Types
Type 1 – Limit Entry
When price retraces to the zone

Entry Types



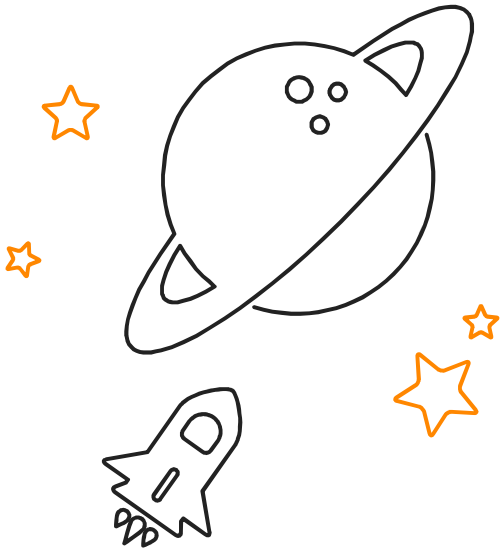
Entry Types
Type 2 – Zone Entry
After formation of Bearish Candle in SZ for Shorts on RTF. After formation of Bullish Candle in DZ for Longs on RTF.

Entry Types



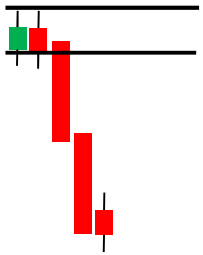
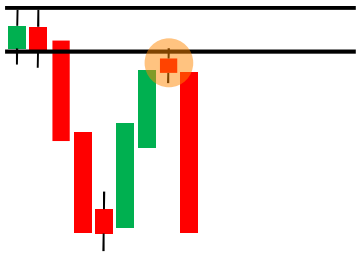
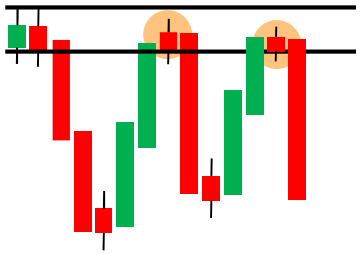
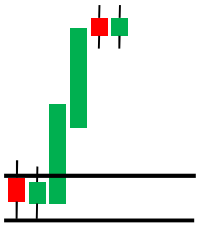
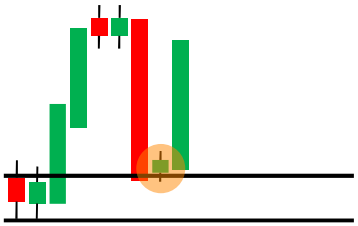
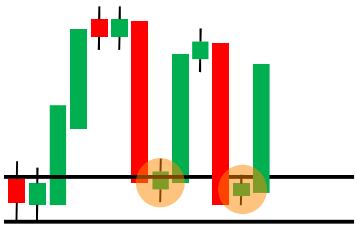
Entry Types
Type 3 – Confirmation Entry
Prices leaving the zone after formation of Bearish Candle in SZ for Shorts on RTF. Prices leaving the zone after formation of Bullish Candle in DZ for Longs on RTF.

Boosters



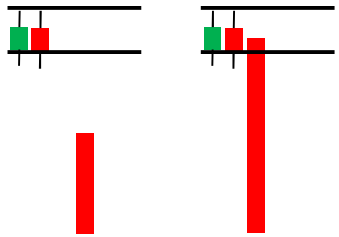
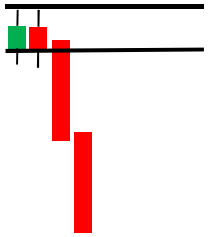
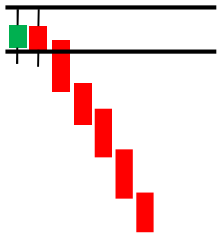
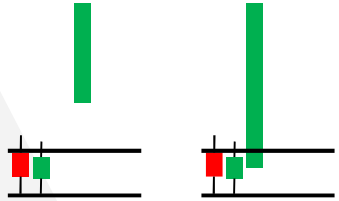
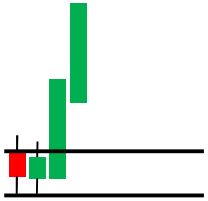
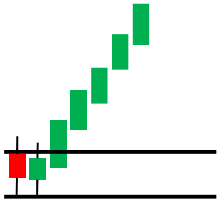
Boosters

Has Price Returned To The Zone : Freshness

Zone	Fresh = 3	1 Shallow Touch = 1.5	More Than One = 0
Supply			
Demand			

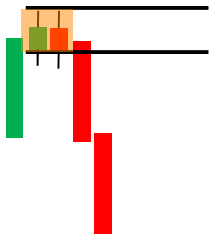
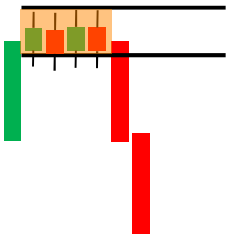
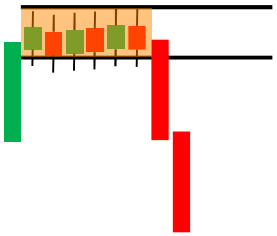
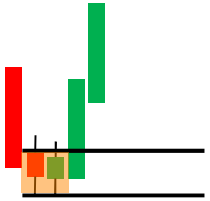
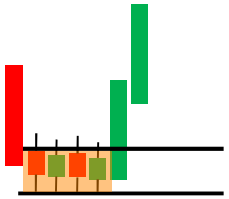
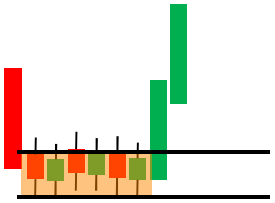
Boosters

How Did Price Leave The Zone : Strength

Zone	Gap/Explosive = 2	Strong = 1	Weak = 0
Supply			
Demand			

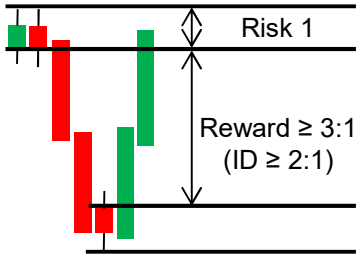
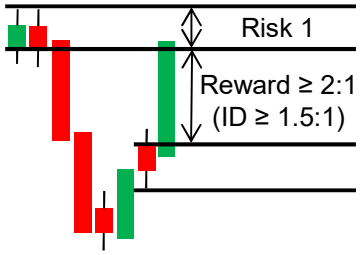
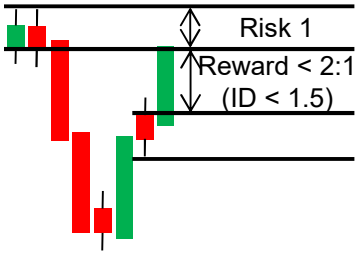
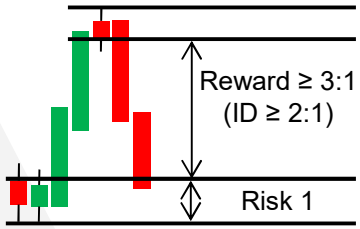
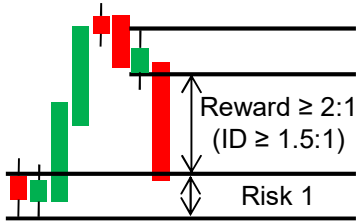
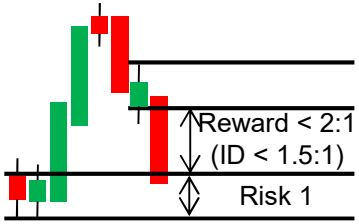
Boosters

How Much Time Did Price Spent At The Zone: Time

Zone	1 to 3 = 2	4 to 6 = 1	More Than 6 = 0
Supply			
Demand			

Boosters

How Far Is The Opposing Fresh Zone: Reward:Risk

Zone	ON ≥ 3:1 ID ≥ 2:1 = 3	ON ≥ 2:1 ID ≥ 1.5:1 = 1.5	ON < 2:1 ID < 1.5:1 = 0
Supply			
Demand			

Boosters

LTF Zone Location On Curve: **Locations**

Very High of Curve	High Probability Location For SZ = 2
High of Curve	Medium Probability Location For SZ = 1
Equilibrium	Low Probability Location For DZ/SZ = 0
Low of Curve	Medium Probability Location For DZ = 1
Very Low of Curve	High Probability Location For DZ = 2

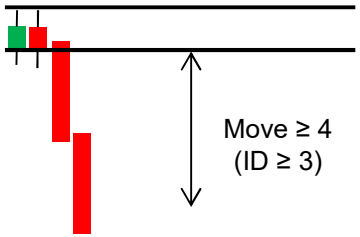
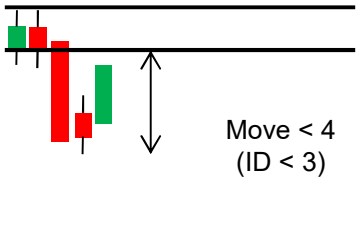
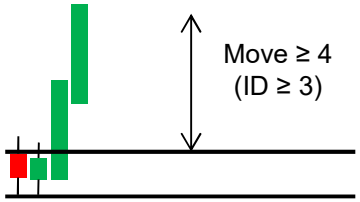
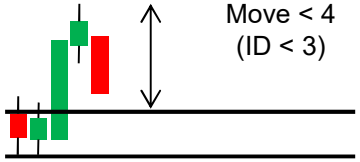
Boosters

Action based upon ITF Trend: Trend

	Uptrend	Sideways	Downtrend
Very High of Curve	Sell = 1	Sell = 1	Sell = 1
High of Curve	Buy/Sell = 0	Buy/Sell = 0.5	Sell = 1
Equilibrium	Buy = 0.5	Buy/Sell = 0	Sell = 0.5
Low of Curve	Buy = 1	Buy/Sell = 0.5	Buy/Sell = 0
Very Low of Curve	Buy = 1	Buy = 1	Buy = 1

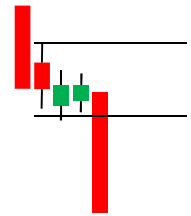
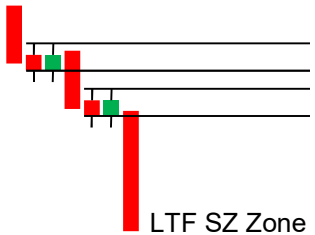
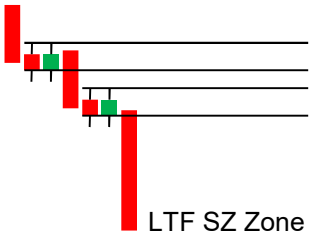
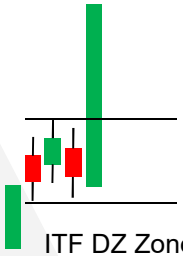
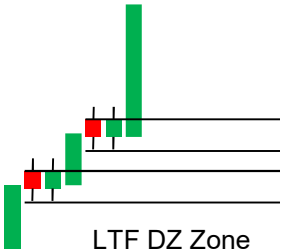
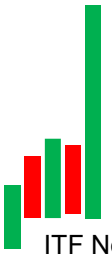
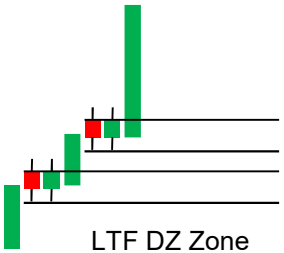
Boosters

How Far Did Price Move From Zone Before Returning To Zone: **Move From Zone**

Zone	ON ≥ 4:1 ID ≥ 3:1 = 2	ON < 4:1 ID < 3:1 = 0
Supply		
Demand		

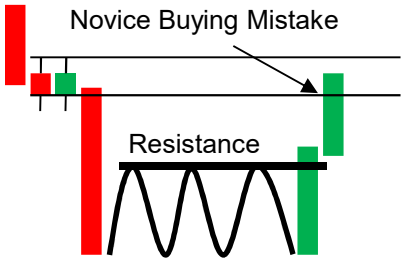
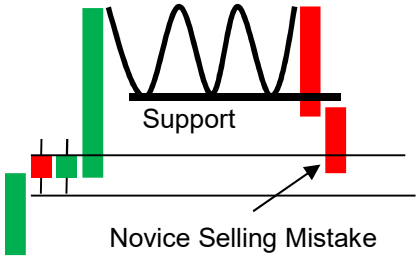
Boosters

ITF Zone Dividing Into 2 Zones On LTF: **Level On Top Of Level**

Zone	Yes = 1	No = 0
Supply	 ITF SZ Zone  LTF SZ Zone	ITF No SZ Zone  LTF SZ Zone
Demand	 ITF DZ Zone  LTF DZ Zone	 ITF No DZ Zone  LTF DZ Zone

Boosters

Will The CTA Make Novice Mistake At Zone: Traps

Zone	Yes = 1 If No = 0
Supply	
Demand	

Boosters

LTF zones coinciding with ITF Zone: **Coinciding Zones**

Zone	Yes = 1	No = 0
Supply	LTF SZ coinciding ITF SZ	LTF SZ coinciding ITF SZ
Demand	LTF DZ coinciding ITF DZ	LTF DZ coinciding ITF DZ

Boosters

Basic Boosters	
Booster	**Maximum Score**
Freshness	3
Strength	2
Time at Zone	2
Reward : Risk	3
Total	**10**

Advanced Booster	
Booster	**Maximum Score**
Location	2
Trend	1
Move from Zone	2
LOTL	1
Traps	1
Coinciding Zone	1
Total	**8**

Boosters

Basic Booster	
Booster	**Maximum Score**
Freshness	3
Strength	2
Time at Zone	2
Reward : Risk	3
Total	**10**

Zone Grading Based Upon Basic Boosters

Score < 7 = Low Quality
Score ≥ 7 = Medium Quality
Score ≥ 9 = High Quality

Boosters

Zone Grading Based Upon Advanced Boosters

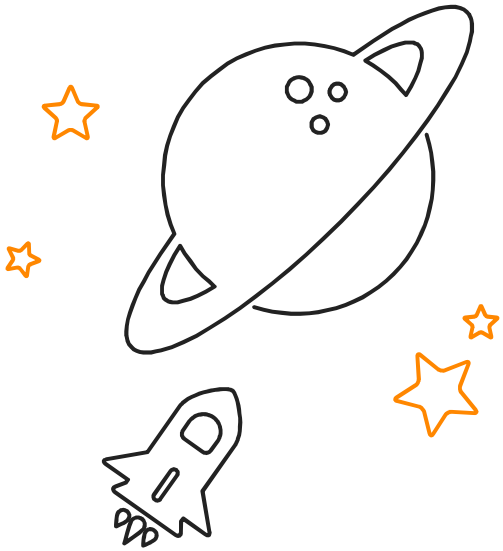
Score < 4 = Low Probability
Score ≥ 4 = High Probability

Advanced Boosters	
Booster	**Maximum Score**
Location	2
Trend	1
Move from Zone	2
LOTL	1
Traps	1
Coinciding Zone	1
Total	**8**

Boosters

	Basic	Advanced	Trade Type
Grading Based Upon Boosters	High Quality ≥ 9	High Probability ≥ 4	Type 1
		Low Probability < 4	Type 2/3
	Medium Quality ≥ 7	High Probability ≥ 4	Type 1
		Low Probability < 4	Type 2/3
	Low Quality < 7	High Probability ≥ 4	Type 2/3
		Low Probability < 4	No Trade

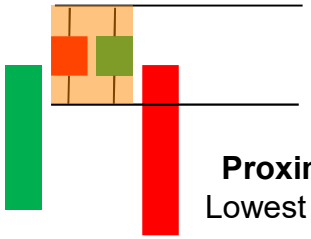
Target



Target Rules

SUPPLY

Distal Line
Highest High

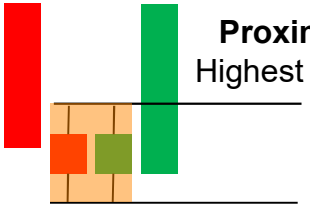


Proximal
Lowest Low

For Target
Opposing Fresh Zone on LTF using Wick To Wick Method. At best locations can use ITF.

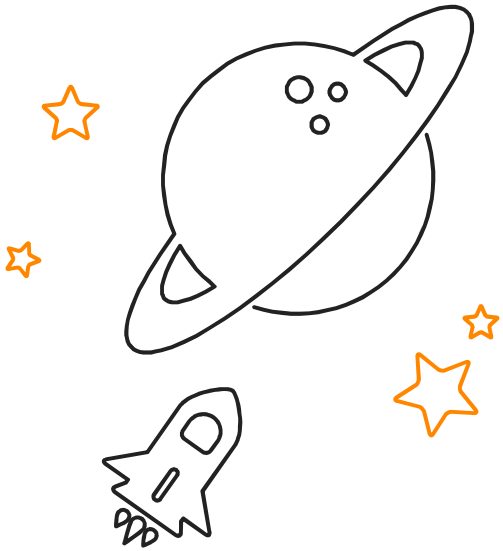
DEMAND

Distal Line
Lowest Low



Proximal
Highest High

Position Sizing



Position Sizing

Properly Determining Position Size Is Objective Risk Management

Steps to Determine Maximum Position Size

1. Establish **Maximum Risk Amount Per Day** based on a percentage of account size.
2. Divide **Maximum Risk Amount Per Day** with average number of trades per day to calculate **Risk Amount Per Trade**.
3. Calculate **Risk On Trade** (Stop Size) by measuring the distance between Entry and Stop Loss.
4. Divide the **Maximum Risk Amount Per Trade** by **Risk On Trade** to determine the **Maximum Position Size**.

Position Sizing

1. Establish Maximum Risk Amount Per Day

Account Size	X	Percentage	=	Maximum Risk Amount Per Day
⬇		⬇		⬇
₹ 1,00,000	X	1%	=	₹ 1,000

Position Sizing

2. Establish Maximum Risk Amount Per Trade

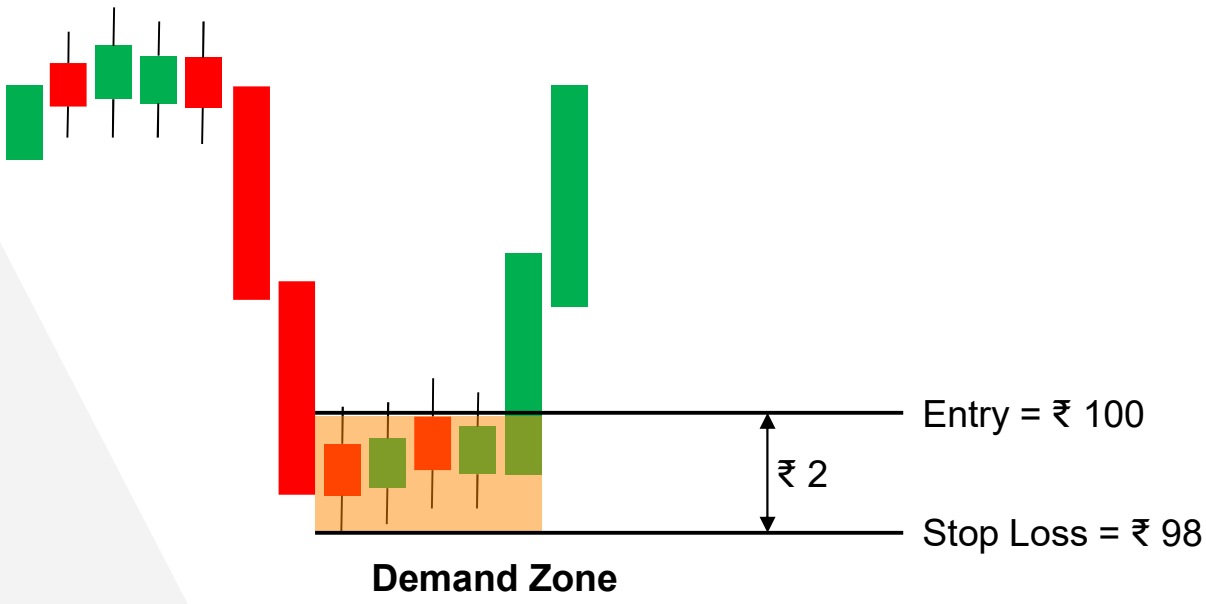
Account Size	X	Percentage	=	Maximum Risk Amount Per Day
₹ 1,00,000	X	1%	=	₹ 1,000

Number of Trade Per Day = $\frac{₹\ 1,000}{4}$ = ₹ 250

4

Position Sizing

3. Establish Risk On Trade



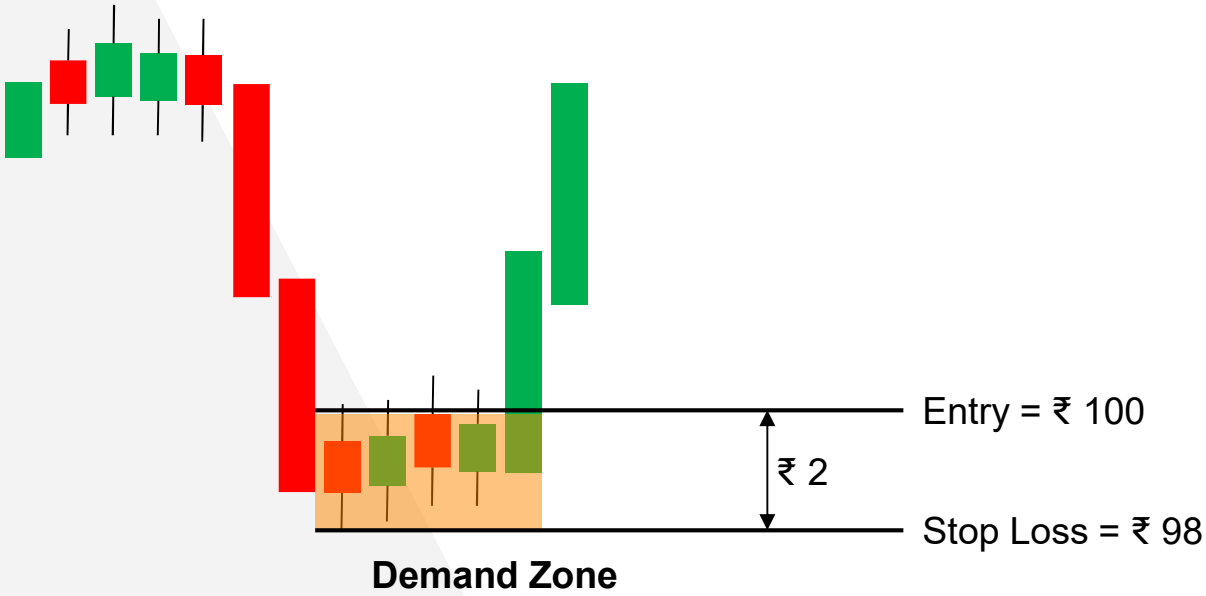
Position Sizing

4. Establish Maximum Position Size

Risk Per Trade / Risk On Trade = Position Size

₹ 250 / ₹ 2 = 125 Shares

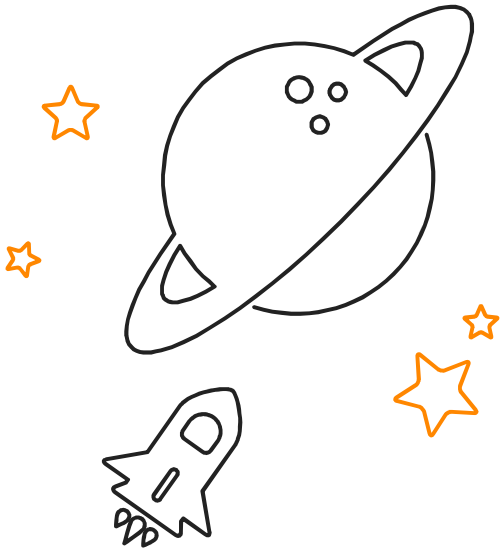
Position Sizing



Risk Per Trade	
₹ 250	
Risk On Trade	**Position Size**
₹ 0.50	500
₹ 1.00	250
₹ 1.50	166
₹ 2.00	125
₹ 2.50	100
₹ 3.00	83
₹ 3.50	71

Summary : We will keep Risk Per Trade Constant and adjust Position Size based upon Risk on that Trade.

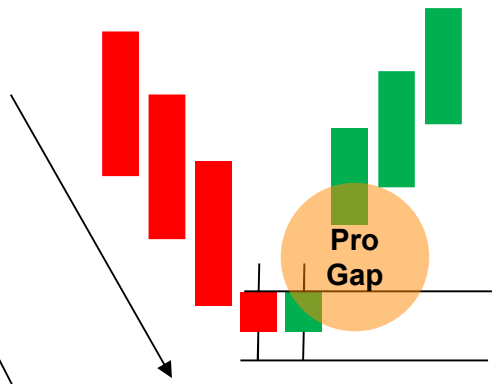
Gaps



Gaps

Pro Gap

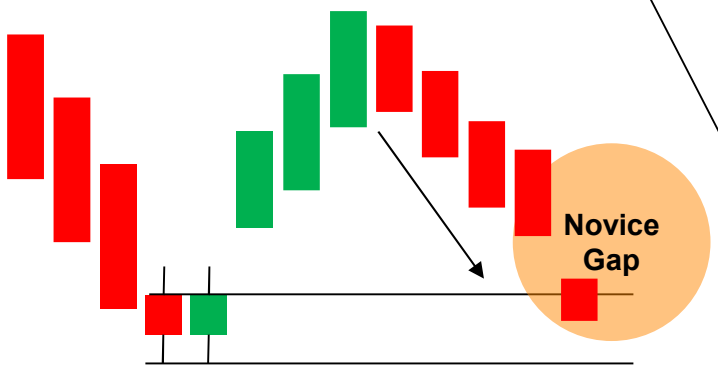
A gap in the opposite direction of price.
(To be checked on Daily Chart)



Gaps

Novice Gap

A gap in the direction of price.
(To be checked on Daily Chart)

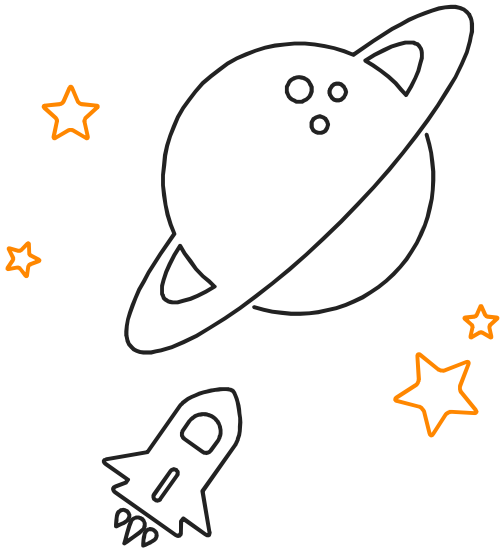


Gaps

Using Gaps As Demand and Supply Zones

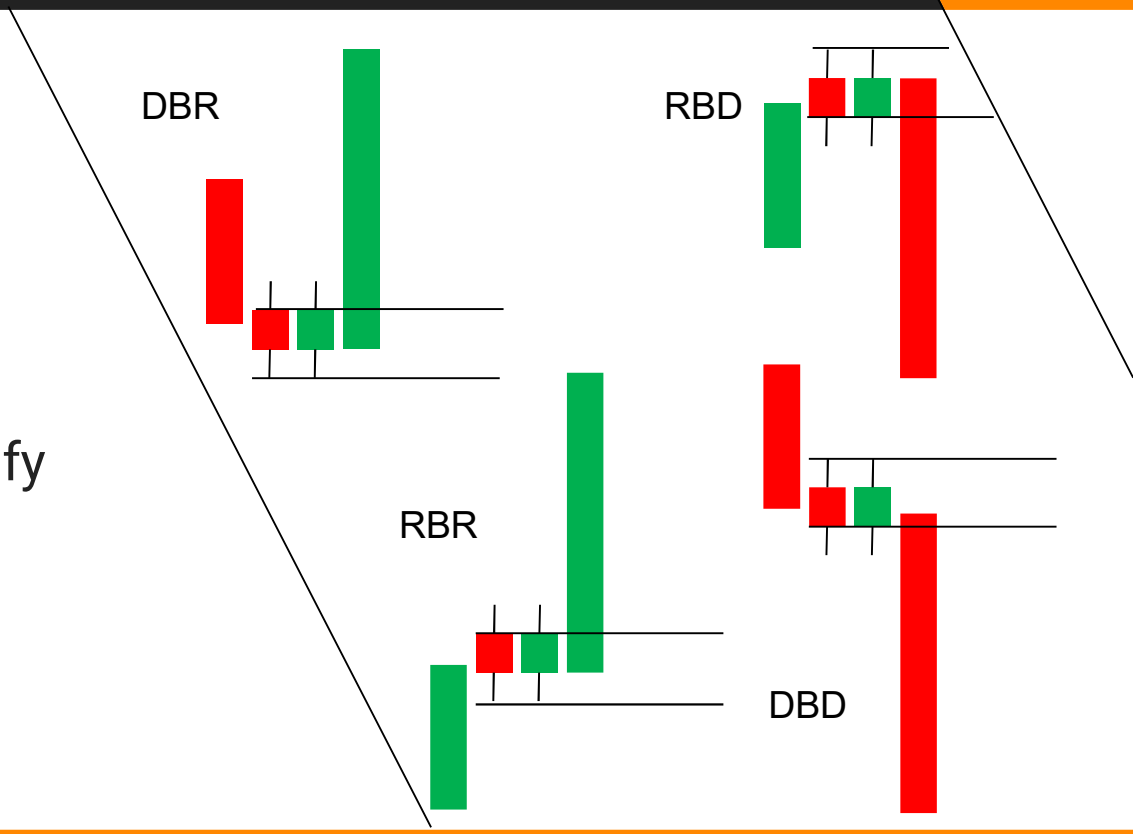
- Use only Overnight and Open Gaps.
- Use only Pro Gaps. (Identify Pro or Novice using Daily Chart)
- In all time High/Low stocks, we need to be aggressive for fills. Therefore, Novice gaps can be used.

Best vs Good

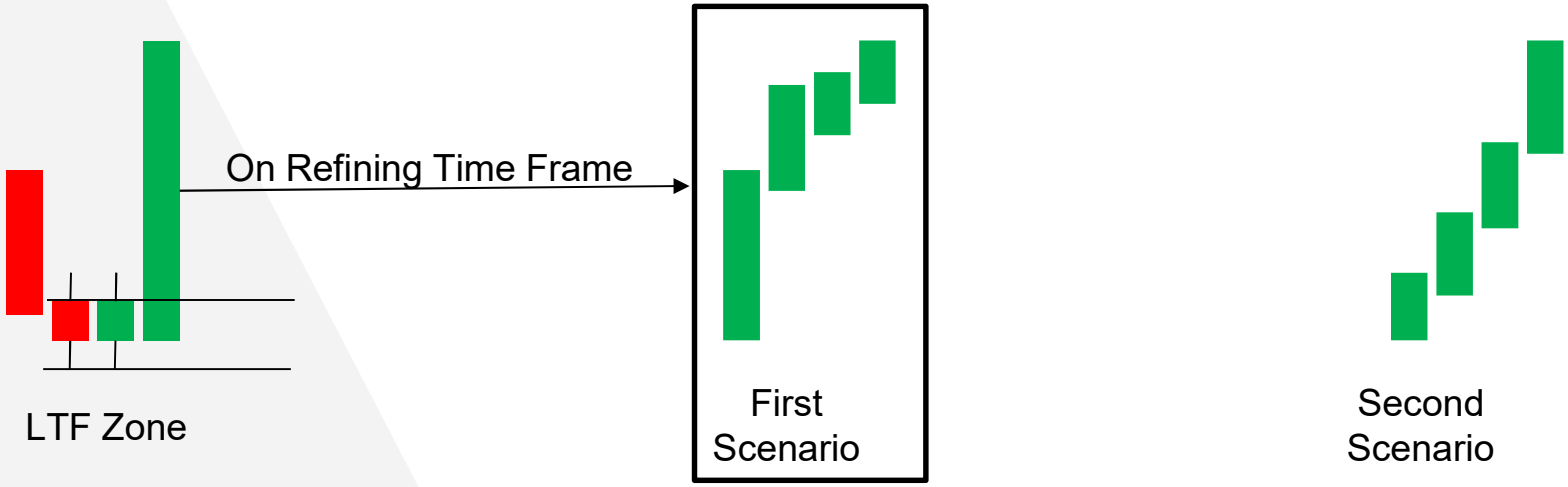


Fine Tune Zones

All quality zones look the same but we need to identify Best vs Good

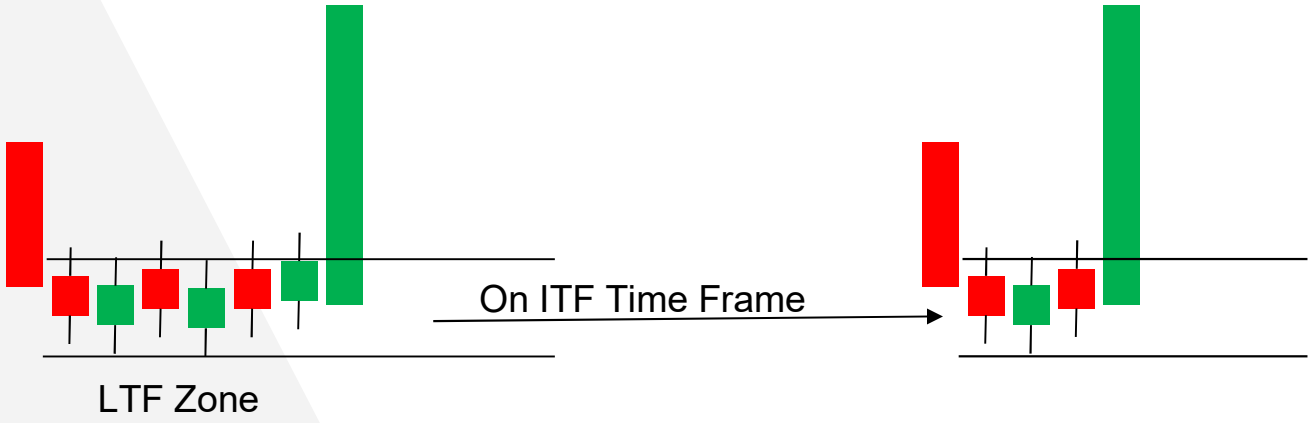


Which scenario shows better strength?



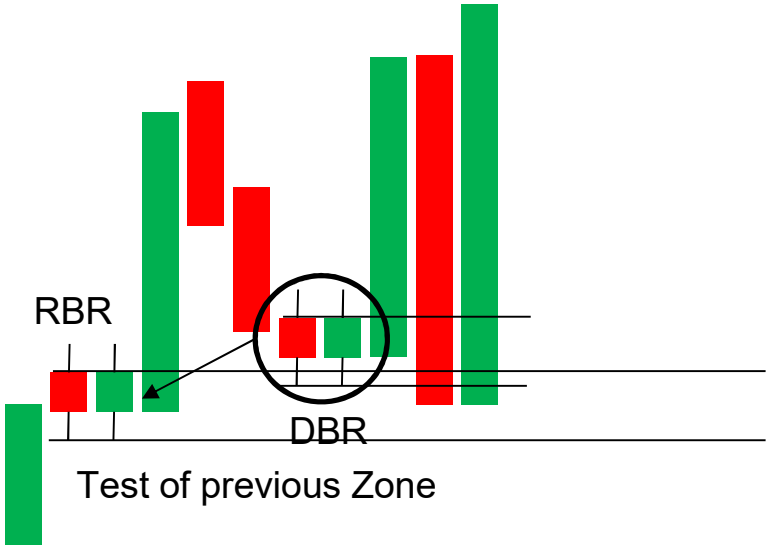
To score Strength check RTF to have better understanding of zone.

Too many candles in BASING?



At best locations too many candles can be fixed.

Zone or Not?



Reversal patterns might be Non-Authentic Zones or Pivots
Reversal zones with less than 3 candles will mostly be Non-Authentic or Pivots

Rules for Non-Authentic Zones or Pivots

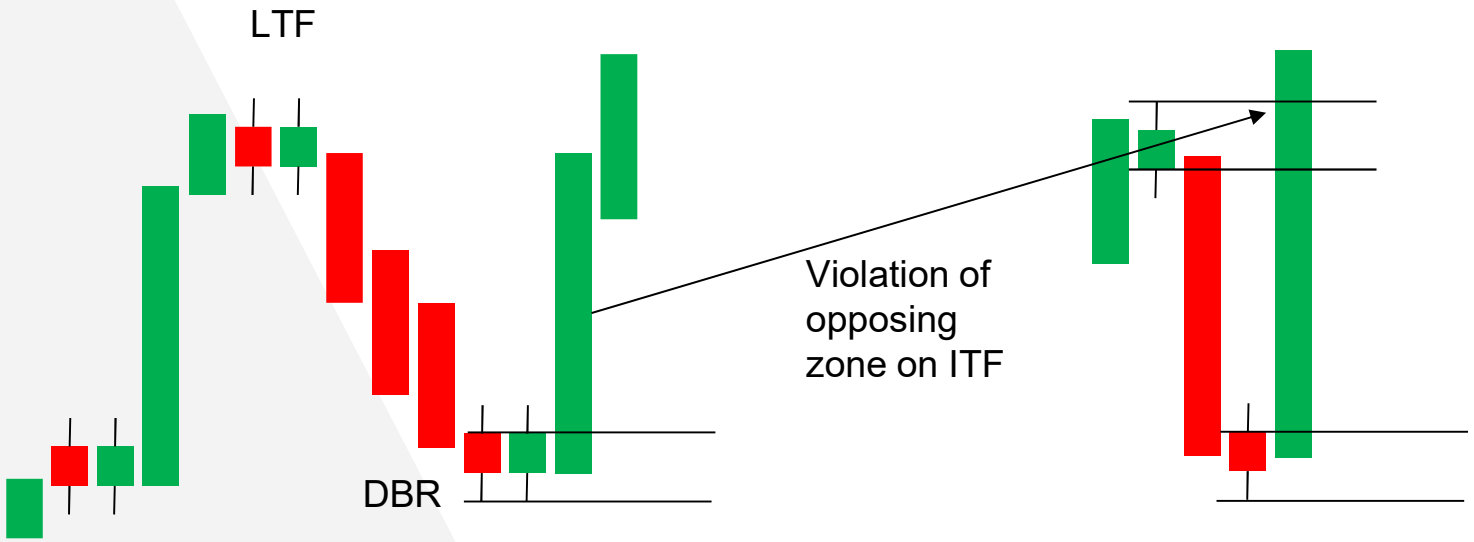
Aggressive Rule

Before applying Boosters make sure the move from this zone was able to violate at least one opposing zone on ITF.

Aggressive Rule Example

Aggressive Rule

Before applying Boosters make sure the move from this zone was able to violate at least one opposing zone on ITF.



Rules for Non-Authentic Zones or Pivots

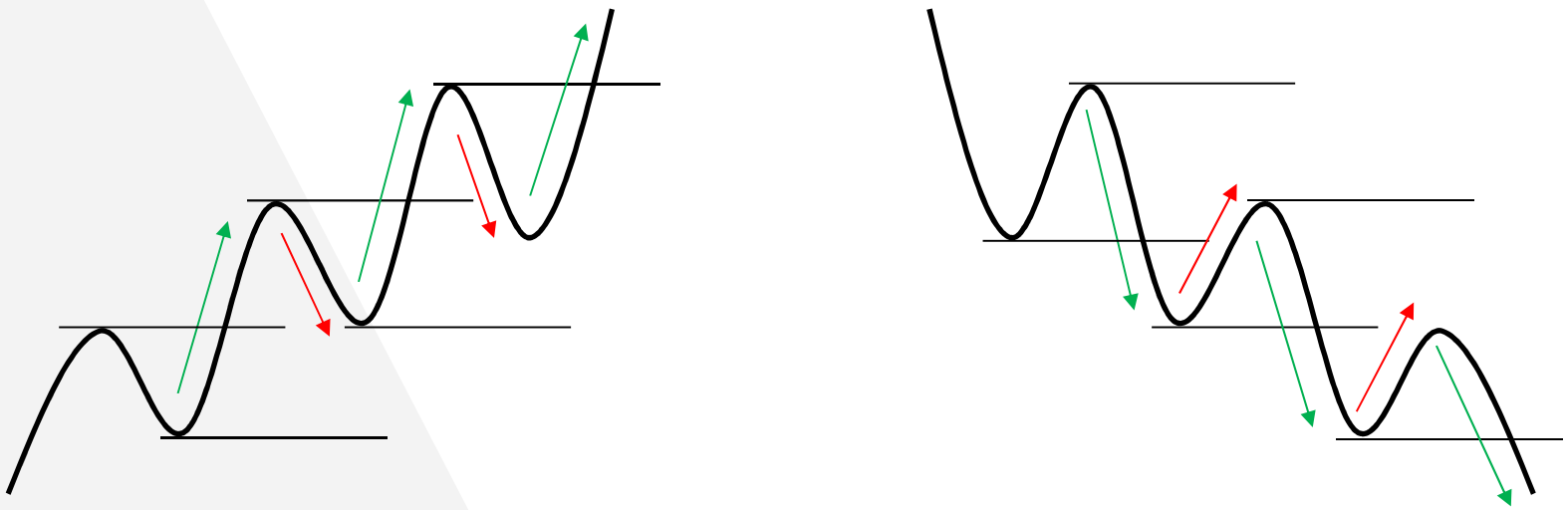
Conservative Rule

Before applying Boosters make sure the move from this zone was an impulsive move on ITF and we have an Authentic zone on RTF.

Impulsive and Corrective Move

Impulsive Move : Move which creates new highs or new lows compared to previous high/low respectively.

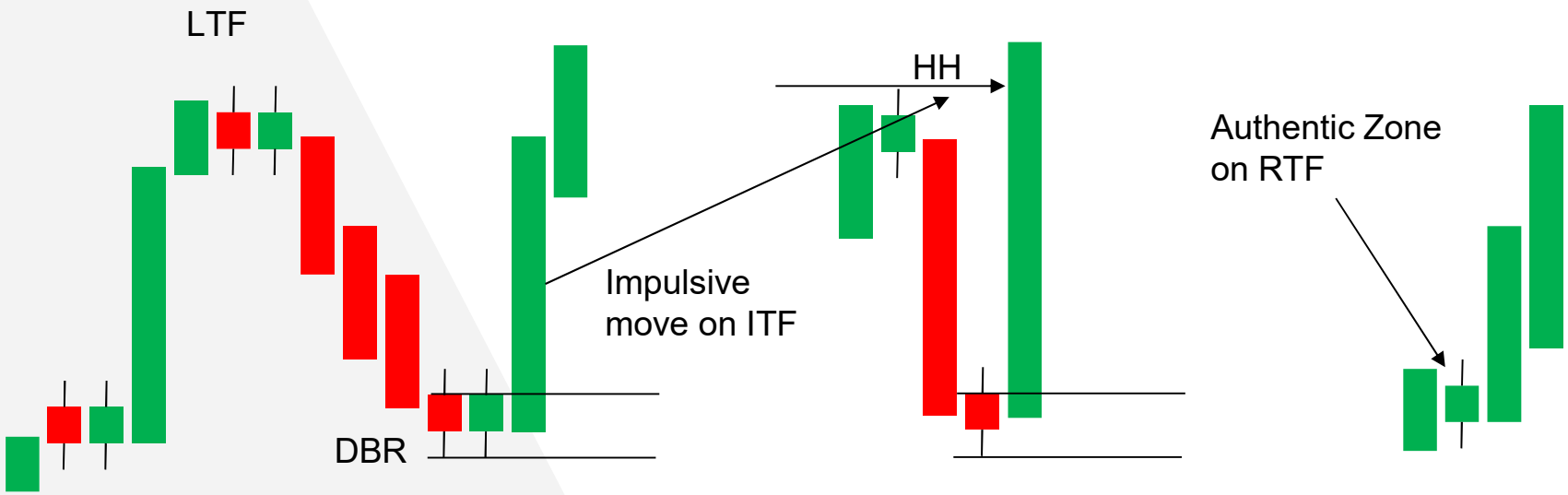
Corrective Move: Move which does not create new highs or new lows compared to previous high/low respectively.



Conservative Rule Example

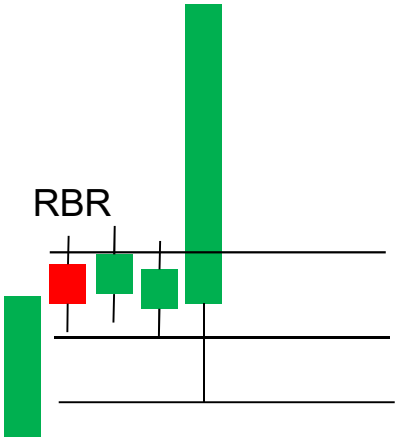
Conservative Rule

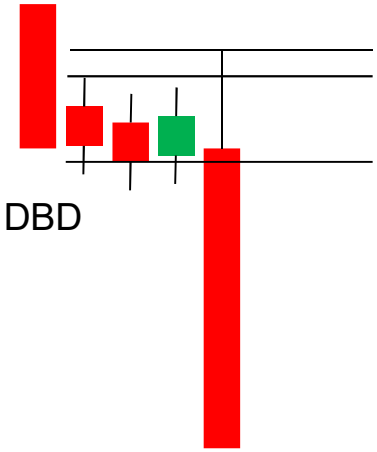
Before applying Boosters make sure the move from this zone was an impulsive move on ITF and we have an Authentic zone on RTF.



Unstable Equilibrium Phase

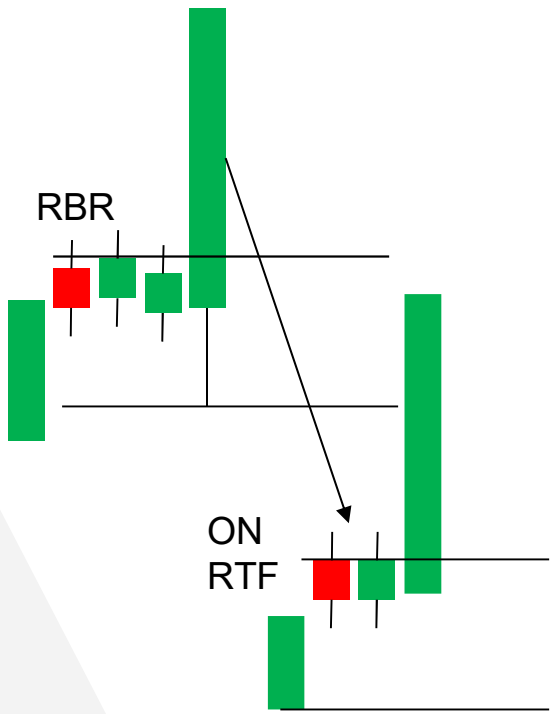
Price going Below or Above Equilibrium Phase does not represent quality.

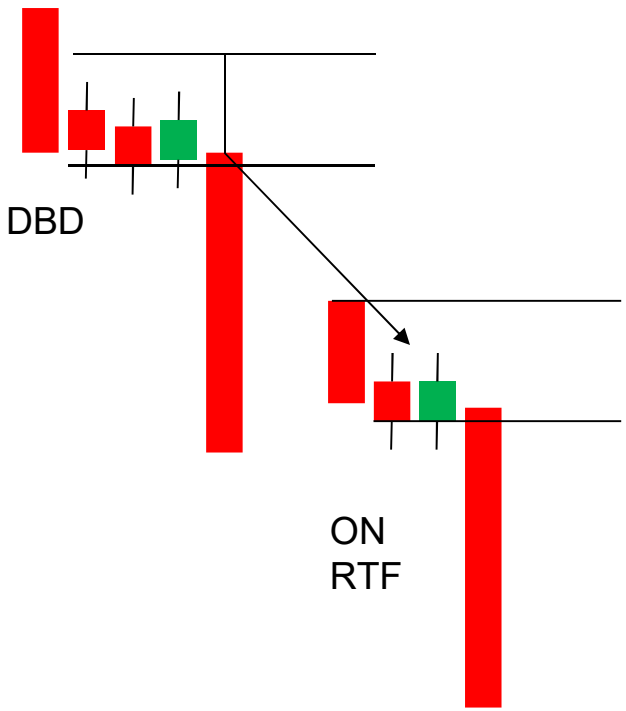




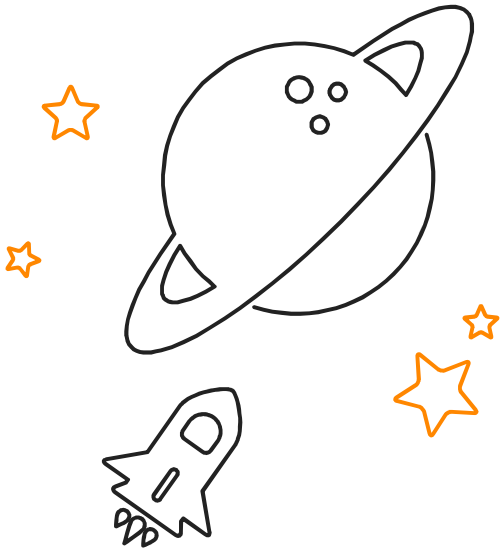
Unstable Equilibrium Phase Rules

Before applying Boosters check for stable zones on RTF.



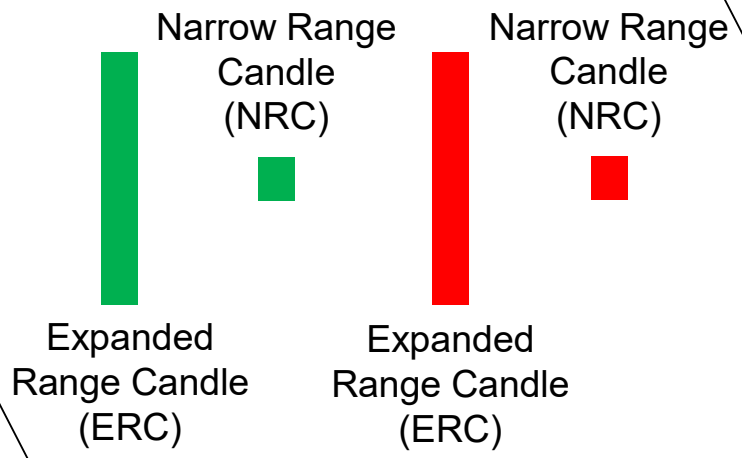


Candlestick Analysis

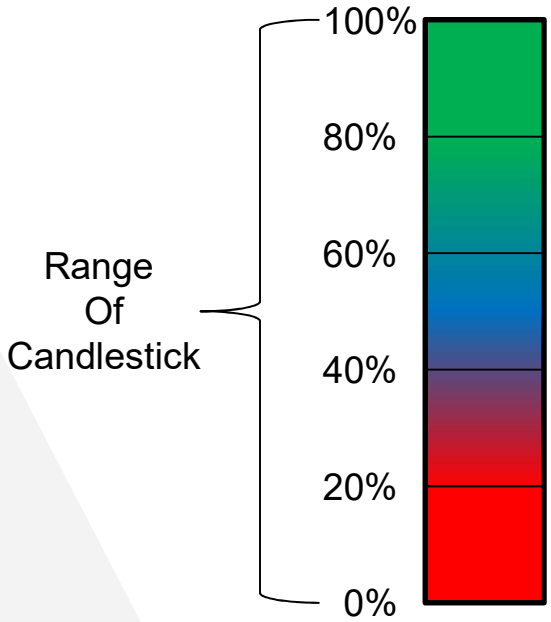


Candlesticks

Candlesticks tell stories of their time interval.



Simple Logic = All Candlestick Patterns



If price closes between 80% - 100% of its range
Very Bullish Candle

If price closes between 60% - 80% of its range
Bullish Candle

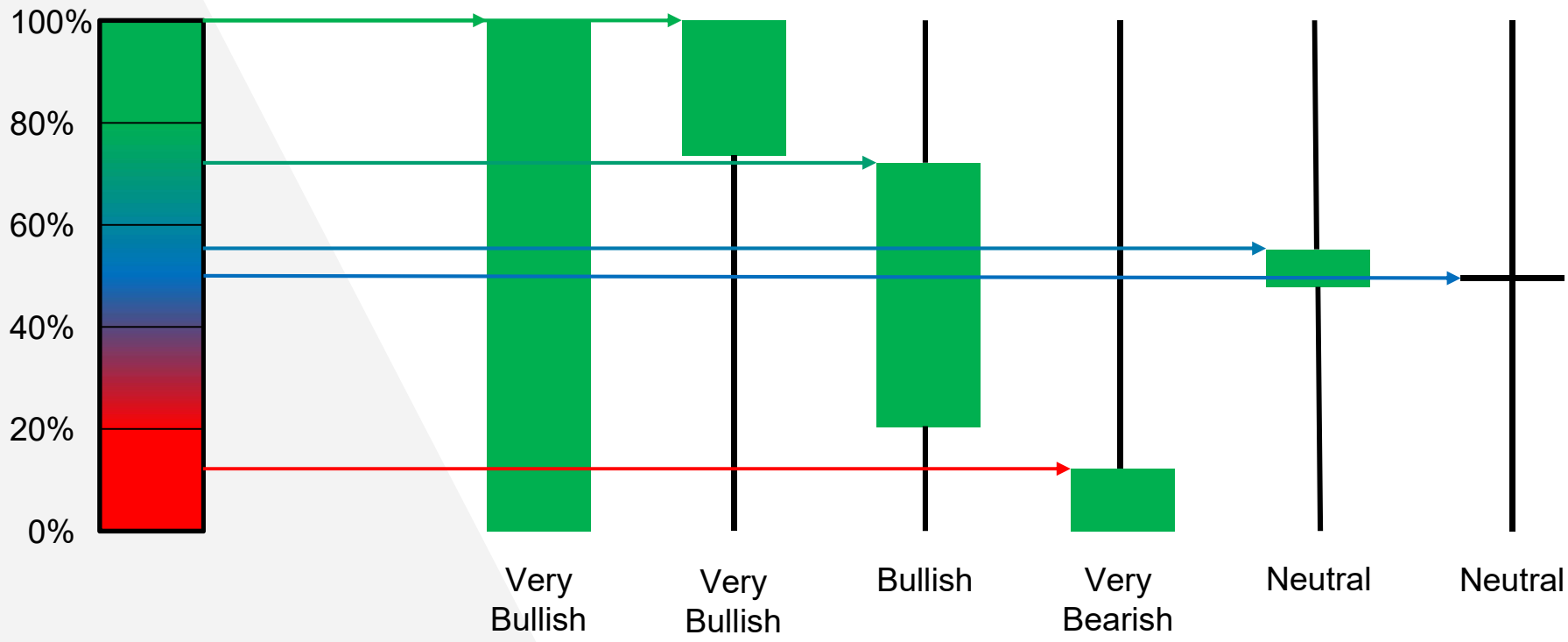
If price closes between 40% - 60% of its range
Neutral Candle

If price closes between 20% - 40% of its range
Bearish Candle

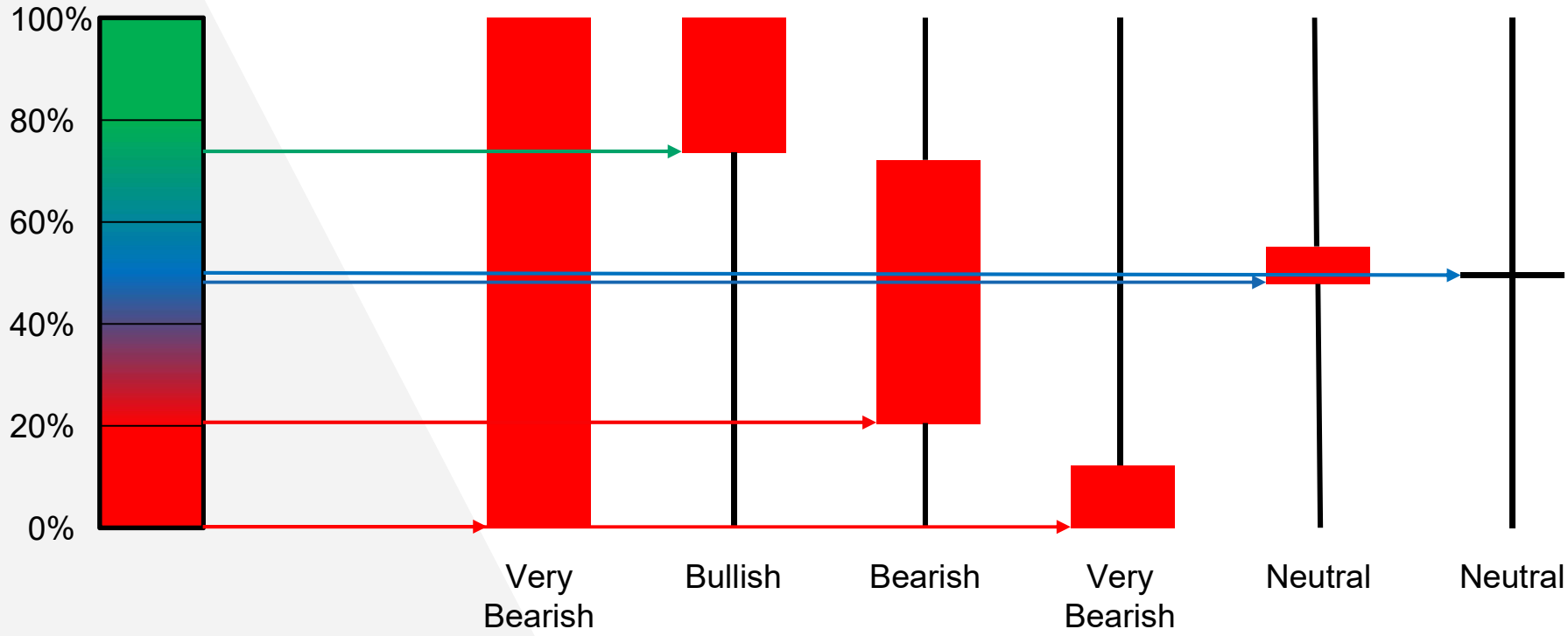
If price closes between 0% - 20% of its range
Very Bearish Candle

Based upon Closing Price in Candlestick Range we can define the patterns as
Very Bearish / Bearish / Neutral / Bullish / Very Bullish

Very Bearish, Bearish, Neutral, Bullish, Very Bullish?



Very Bearish, Bearish, Neutral, Bullish, Very Bullish?



Candlesticks

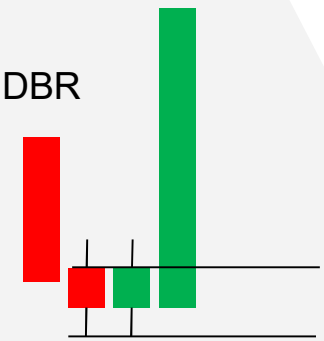
Location is Everything

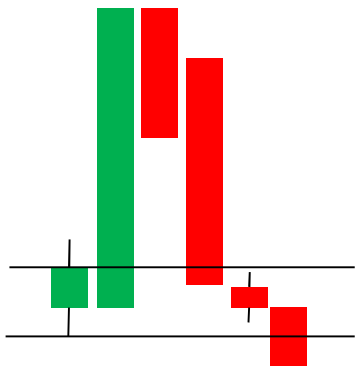
Very Bullish/Bullish Candle pattern in a Bullish Location
Demand Zones

Very Bearish/Bearish Candle pattern in a Bearish Location
Supply Zones

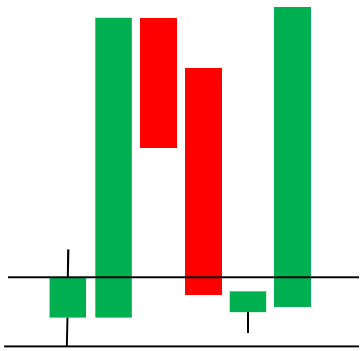
Use RTF with Candlestick Patterns

DBR



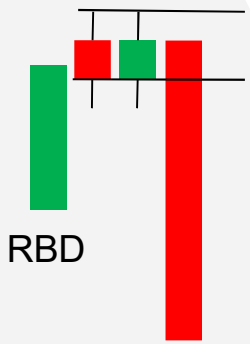


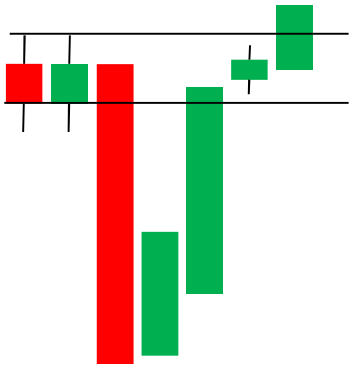
No Trade because of Neutral/Bearish Candlestick in Bullish Location



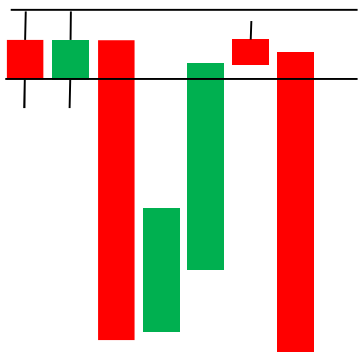
Trade because of Bullish/Very Bullish Candlestick in Bullish Location

Use RTF with Candlestick Patterns





No Trade because of Neutral/Bullish Candlestick in Bearish Location



Trade because of Bearish/Very Bearish Candlestick in Bearish Location

Trade Management

Trade Management

Breakeven

Breakeven means entering and exiting trade at same price.

Example

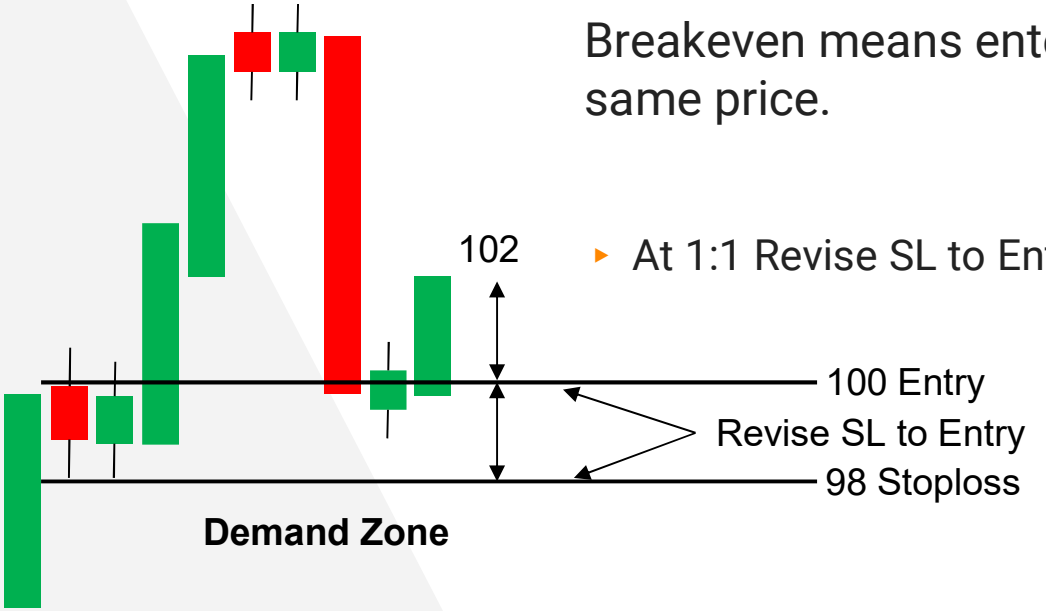
- At 1:1 Revise SL to Entry Price.

Trade Management

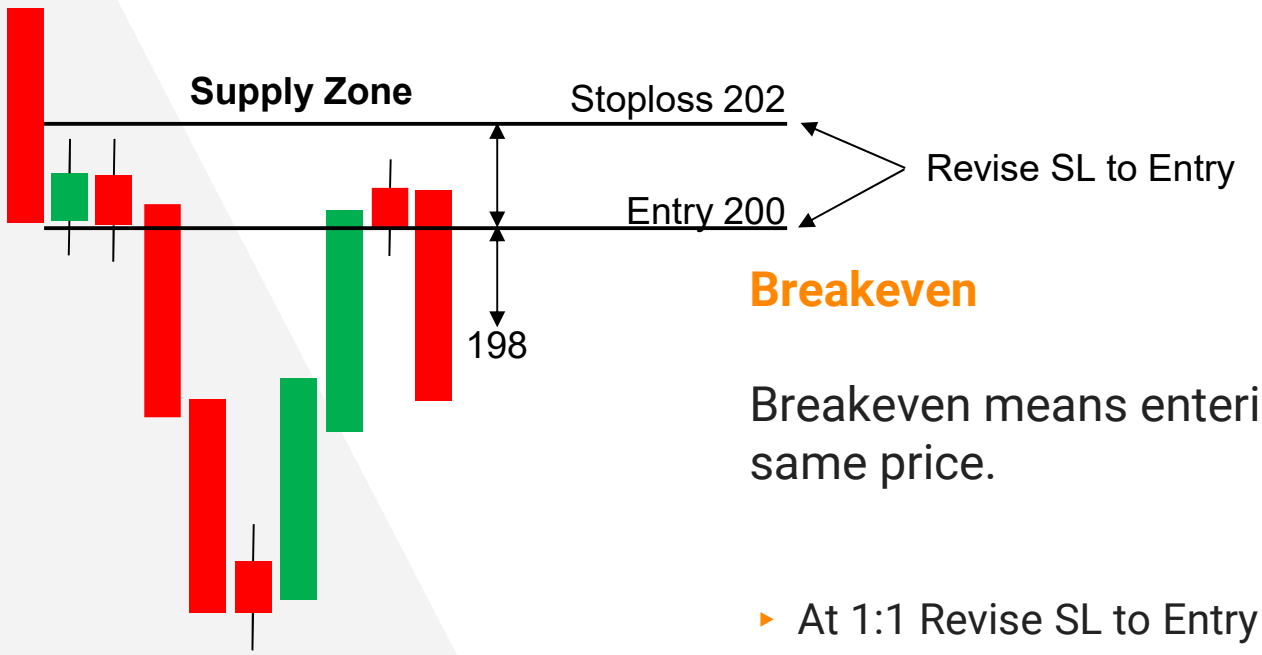
Breakeven

Breakeven means entering and exiting trade at same price.

- At 1:1 Revise SL to Entry Price.



Trade Management



Breakeven

Breakeven means entering and exiting trade at same price.

- At 1:1 Revise SL to Entry Price.

Trade Management

Trailing Stop Loss

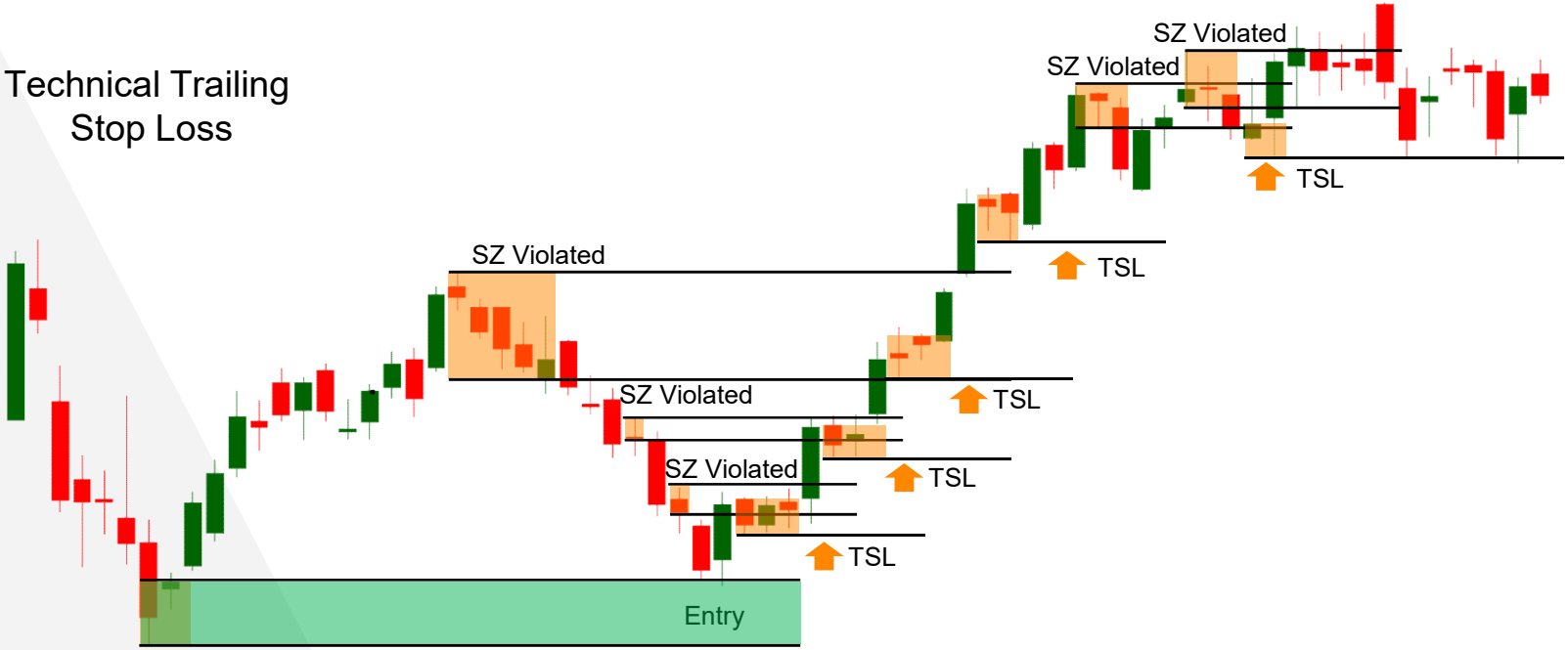
A Trailing Stop Loss is a protective Stop that follows price.

They can be based on:

- Points or Percentage (Automatic in most platforms)
- Demand and Supply
  → Technical Trailing Stop Loss (Applied Manually)

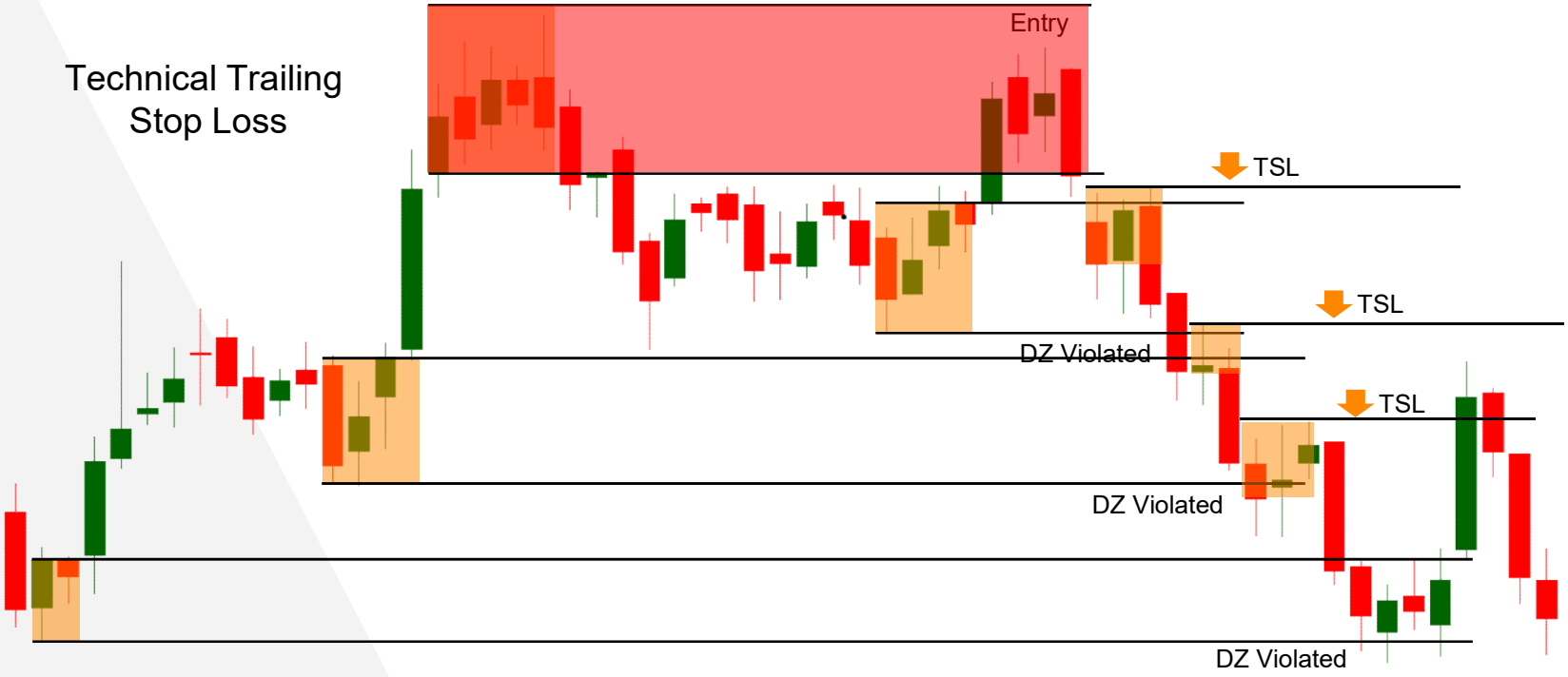
Trade Management

Technical Trailing
Stop Loss



Trade Management

Technical Trailing
Stop Loss



All Time Highs/Lows

All time High Rules

- For a scrip making all-time highs, no Short Trade unless we have a Weekly SZ.
- Trend will be considered as Uptrend
- For scrip making all time high, all locations are equilibrium.

All time Low Rules

- For a scrip making all-time lows, no Long Trade unless we have a Weekly DZ.
- Trend will be considered as Downtrend
- For scrip making all time low, all locations are equilibrium.

Additional Rules

Optional For HIT

Prefer to have some support from weekly or daily time frame which helps in stacking extra probability to HIT, because most of the times the best looking levels might be at the worst location.

HIT make sure that you are always using fresh zone for the curve.

Price comes to zone from HTF DZ/SZ

When the price comes back to your zone after hitting the very low or very high of the curve the probability of the trade setup reduces.

Conservative – Do Not trade.
Aggressive - You can take the trade by restoring the probability.

- You should have the required R:R on your LTF.
- The location of your zone should be the best location on HTF+1.

Additional Rules

Overnight Rules

- HIT – Do not keep overnight.
- DIT – Initially do not keep them overnight, but with time and experience, they can be kept overnight. Analyze the trade as WIT and if it qualifies you are allowed to keep it overnight.
- WIT/MIT – Can be kept overnight.

DZ/SZ at Breakouts

Zone formed at breakouts are lesser probability.

Stop Loss

When you SL is close to days high/low keeping the SL beyond days high/low is a safer location for SL.

Additional Rules

LOTL and Best Locations

- You can use ITF for Quality boosters because LOTL implies you are trading the ITF zone by fine-tuning it on LTF.
- This is also applicable when zones are located at the best locations.

Characteristics of LOTL

- In case of Demand the lower zone might be tested by the upper zone and in case of supply the upper zone might be tested by the lower zone.
- In case of Demand the lower zone might be lesser strength vs the upper zone and in case of supply the upper zone might be lesser strength vs the lower zone.
- In case of Demand the lower zone might have more number of candles vs the upper zone and in case of supply the upper zone might have more number of candles vs the lower zone.

LOTL basically implies that you are trading the ITM zone by fine tuning it on the LTF. Therefore if you see the above said characteristics they can be ignored and the zone can be rated based on ITF.

Additional Rules

LOTL

In case of LOTL, the Upper Level for Supply or the Lower Level for Demand might have less than 3 candles in the basing which implies that it could be a pivot or non-authentic zone. There is no need to apply the pivot or non-authentic rules as being a LOTL probability is by default stacked.

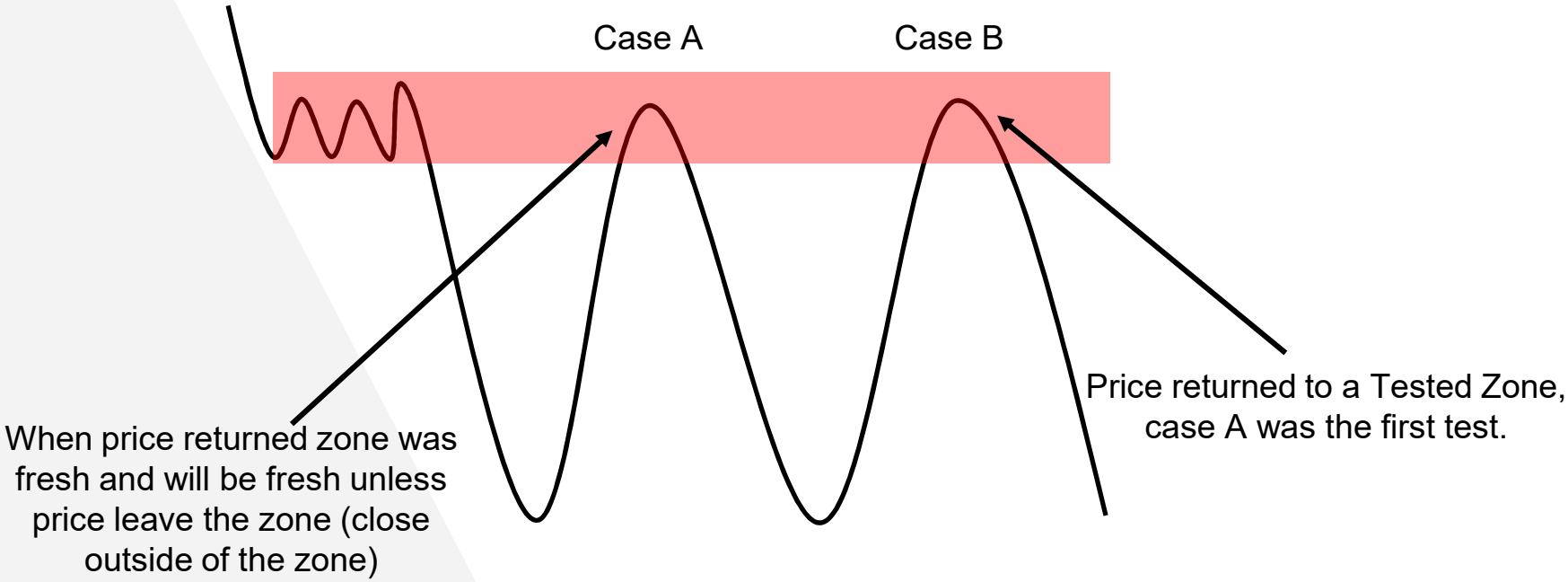
Pro Gap

If a Pro Gap is a reversal pattern with less than 3 candles in basing we can skip the rules for pivot or non-authenticity since it is a Pro Gap which already adds probability to the zone.

Set and Forget Trades

WIT trades at Best Locations and MIT

Freshness


Case A
Case B
When price returned zone was fresh and will be fresh unless price leave the zone (close outside of the zone)
Price returned to a Tested Zone, case A was the first test.

Additional Rules

Curve Rules

- HIT – Always use fresh DZ/SZ for curve.
- DIT – Prefer to use Fresh DZ/SZ for curve, but as an aggressive trader you can use tested zone provided they are in sync with weekly.
- WIT/MIT – Can use tested zones.

Rule for Key Events

- Do not trade.
- Avoid trading 30 min before and after the event.
- You can trade anytime but only trade the Very High / Very Low of curve.
- You can trade other locations but only 10/10 quality zone as T2/T3.
- Avoid HIT/DIT and only plan WIT/MIT.

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